

Hospitality Market Report

Orange County - CA USA

PREPARED BY

VISIT Anaheim

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CoStar™

HOSPITALITY MARKET REPORT

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Overview

Orange County Hospitality

12 Mo Occupancy	12 Mo ADR	12 Mo RevPAR	12 Mo Supply	12 Mo Demand
74.0%	$218	$162	22M	16.3M

Orange County remains one of the most complex and diverse lodging markets in Southern California, supported by a broad mix of leisure, group, corporate, and resort-oriented demand. Unlike many coastal California markets that rely heavily on a single source of visitation, Orange County benefits from multiple demand generators that are geographically dispersed and serve distinct traveler segments. Momentum strengthened toward year-end 2025 and continued in 2026, resulting in trailing 12-month RevPAR growth of 6.9% through August.

Anaheim functions as the county's primary tourism hub, anchored by Disneyland Resort and the Anaheim Convention Center, while Newport Beach, Laguna Beach, and Dana Point comprise one of the state's premier coastal resort corridors. At the same time, Irvine, Santa Ana, and Costa Mesa provide a substantial business travel component supported by concentrations of professional services firms, financial institutions, healthcare organizations, higher education facilities, and regional corporate headquarters. This combination of tourism infrastructure, coastal recreation amenities, convention activity, and employment centers creates a lodging market with a relatively balanced demand profile and a broader foundation than many competing West Coast destinations.

Recent market conditions have reflected a gradual transition from the moderation experienced through much of 2025 toward stronger operating momentum in 2026. Leisure travel continues to represent the largest source of room demand, supported by Orange County's beaches, entertainment offerings, and favorable drive-to accessibility from Southern California's population base. However, demand growth has become increasingly diversified as convention and business-related travel have improved. Anaheim continues to benefit from a robust event calendar that supports weekday occupancy and generates compression throughout surrounding lodging districts, while employment centers in Irvine, Santa Ana, and Costa Mesa are showing increased business travel activity after a period of corporate caution. These dynamics have contributed to a healthier balance between occupancy and pricing performance, allowing operators to pursue revenue growth through a combination of improving demand and sustained rate discipline. Although competition for discretionary travel spending remains elevated, the market continues to benefit from its unique combination of tourism infrastructure, resort destinations, and business activity.

Looking ahead, Orange County's lodging market is expected to benefit from several long-term demand catalysts. The region's proximity to major global events in Los Angeles, including the 2026 FIFA World Cup and the 2028 Summer Olympics, is expected to generate incremental visitation and spillover lodging demand. The DisneylandForward initiative represents one of the most significant tourism developments currently underway in the region and is expected to create additional entertainment, dining, and visitor-oriented experiences within the Anaheim resort district. Similarly, the multi-billion-dollar OCVIBE development surrounding the Honda Center is poised to enhance the county's entertainment offerings and create new demand generators over time.

These projects complement a convention sector that continues to attract large-scale meetings and events while further diversifying the region's visitor economy. At the same time, the development pipeline remains modest relative to the market's size, limiting near-term competitive pressure and allowing future demand growth to be absorbed more efficiently. While elevated operating costs and changing travel preferences remain important considerations, Orange County's combination of destination appeal, economic diversity, and ongoing investment activity should continue to support stable lodging fundamentals over the foreseeable future.

Supply growth remains modest. Currently, just 3 hotels with 670 rooms are under construction, expanding inventory by approximately 1.1% by 2028, limiting near-term competitive pressure.

Investment activity cooled but remained active. A total of 15 hotel transactions totaling $234 million closed over the past 12 months, under the three-year average of $311 million. The pullback reflects broader investor caution amid elevated financing costs, measured revenue growth, and lingering uncertainty around the pace of demand recovery.

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Overview

KEY INDICATORS

Class	Rooms	12 Mo Occ	12 Mo ADR	12 Mo RevPAR	12 Mo Delivered	Under Construction
Luxury & Upper Upscale	22,526	74.8%	$323	$242	0	496
Upscale & Upper Midscale	23,964	75.5%	$182	$137	0	172
Midscale & Economy	13,733	70.0%	$104	$73	0	0
Total	**60,223**	**74.0%**	**$218**	**$162**	**0**	**668**

Average Trend	Current	3 Mo	YTD	12 Mo	Historical Average	Forecast Average
Occupancy	75.5%	78.6%	75.2%	74.0%	71.5%	
Occupancy Change	0.9%	1.7%	3.4%	2.0%	8.7%	
ADR	$226	$234	$222	$218	$208	
ADR Change	4.7%	6.3%	6.2%	4.8%	7.7%	
RevPAR	$170	$184	$167	$162	$149	
RevPAR Change	5.6%	8.1%	9.9%	6.9%	17.0%	

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Hotel performance in Orange County strengthened meaningfully entering late 2025 and early 2026, signaling a transition from mid-year softness to a more constructive operating environment. The market posted positive trailing 12-month RevPAR growth of approximately 6.9%through August, but that average masks a clear improvement in momentum in recent months as demand rebuilt, occupancy firmed, and pricing power returned in peak and shoulder periods.

Orange County's lodging performance continues to reflect the advantages of a highly diversified demand base that draws from leisure, group, and corporate travel segments. While leisure demand remains the primary driver of room night production, particularly in Anaheim and the county's coastal resort communities, business-related travel and convention activity play an increasingly important role in shaping weekday occupancy patterns. This diversification distinguishes Orange County from many leisure-oriented destinations and provides additional stability during periods when discretionary travel spending softens. The market benefits from several distinct lodging clusters, including the Disneyland Resort area, the Newport Beach and Dana Point luxury resort corridor, and the Irvine, Santa Ana, and Costa Mesa business districts, each serving different traveler profiles and demand characteristics.

Group demand strengthened meaningfully as convention, meeting, and event activity continued to normalize. The Anaheim Convention Center remains one of the market's most significant demand generators, supporting substantial weekday occupancy and driving compression throughout the Disneyland submarket during major events. Corporate transient demand also improved as travel activity across Orange County's business corridors became more consistent. Market participants have reported greater booking visibility, fewer short-notice cancellations, and somewhat longer booking windows compared with the uncertainty experienced during earlier phases of the recovery. These factors have supported healthier pricing conditions and reduced the need for widespread discounting during shoulder periods.

Performance continues to vary by submarket. Newport Beach and Dana Point remain the county's pricing leaders due to their concentration of luxury and upper-upscale resorts, while Anaheim benefits from some of the highest occupancy levels in the market because of its tourism and convention infrastructure. Santa Ana and Costa Mesa continue to benefit from a balanced mix of business and leisure demand tied to large employment centers, while more price-sensitive locations have generally experienced a slower recovery cycle.

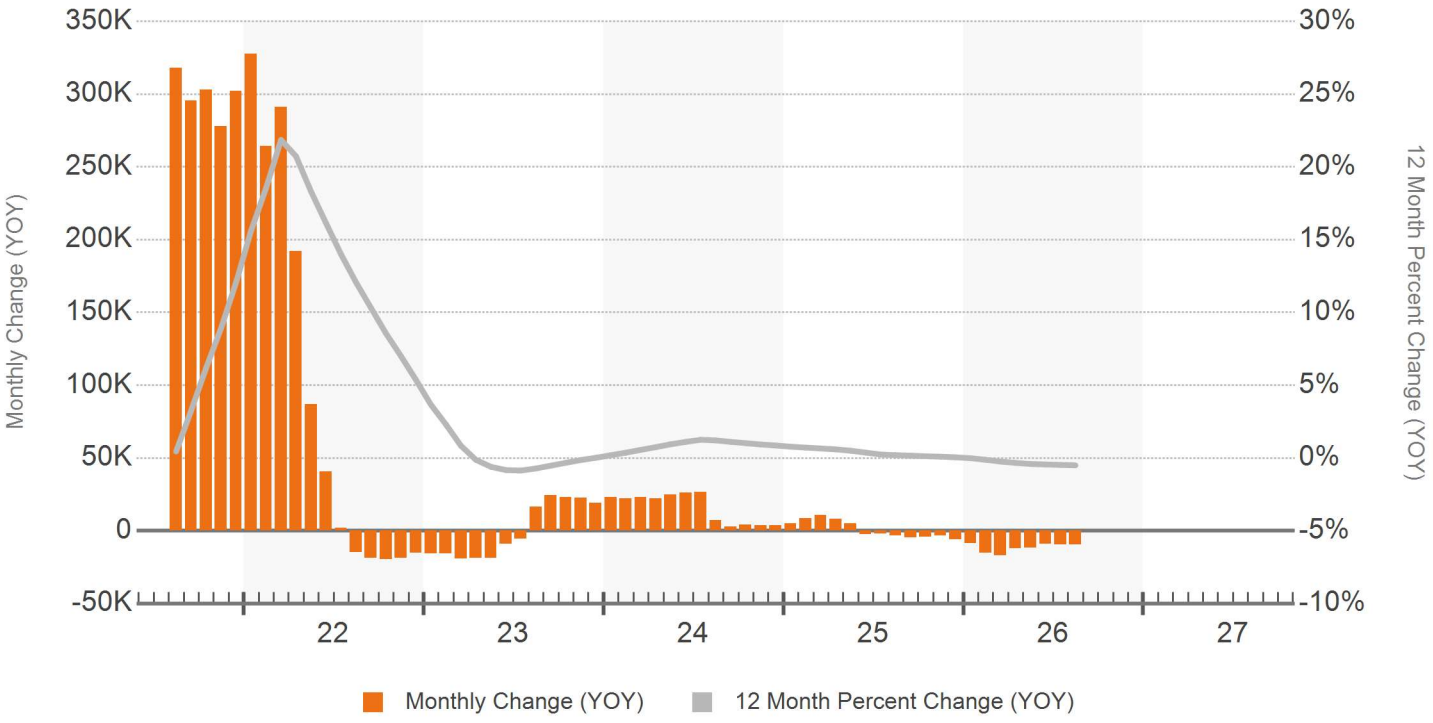
Looking ahead, Orange County's RevPAR is projected to maintain the positive RevPAR momentum, supported in part by its proximity to a series of major global events in Los Angeles, including the recently concluded 2026 FIFA World Cup and the upcoming 2028 Summer Olympics. While matches were centered outside the county, spillover demand from visitors, media, and team operations provided incremental upside.

Longer-term demand prospects are also being reinforced by sustained investment in regional attractions. Disneyland continues to evolve through initiatives such as DisneylandForward, which will introduce a new mixed-use entertainment district combining dining, retail, live performances, and upgraded rides. Nearby, Anaheim's $4 billion OCVIBE redevelopment adjacent to the Honda Center is progressing through phased openings, with full buildout targeted by 2028. Together, these projects underscore a long-term commitment to tourism infrastructure that should help underpin hotel demand over the next decade.

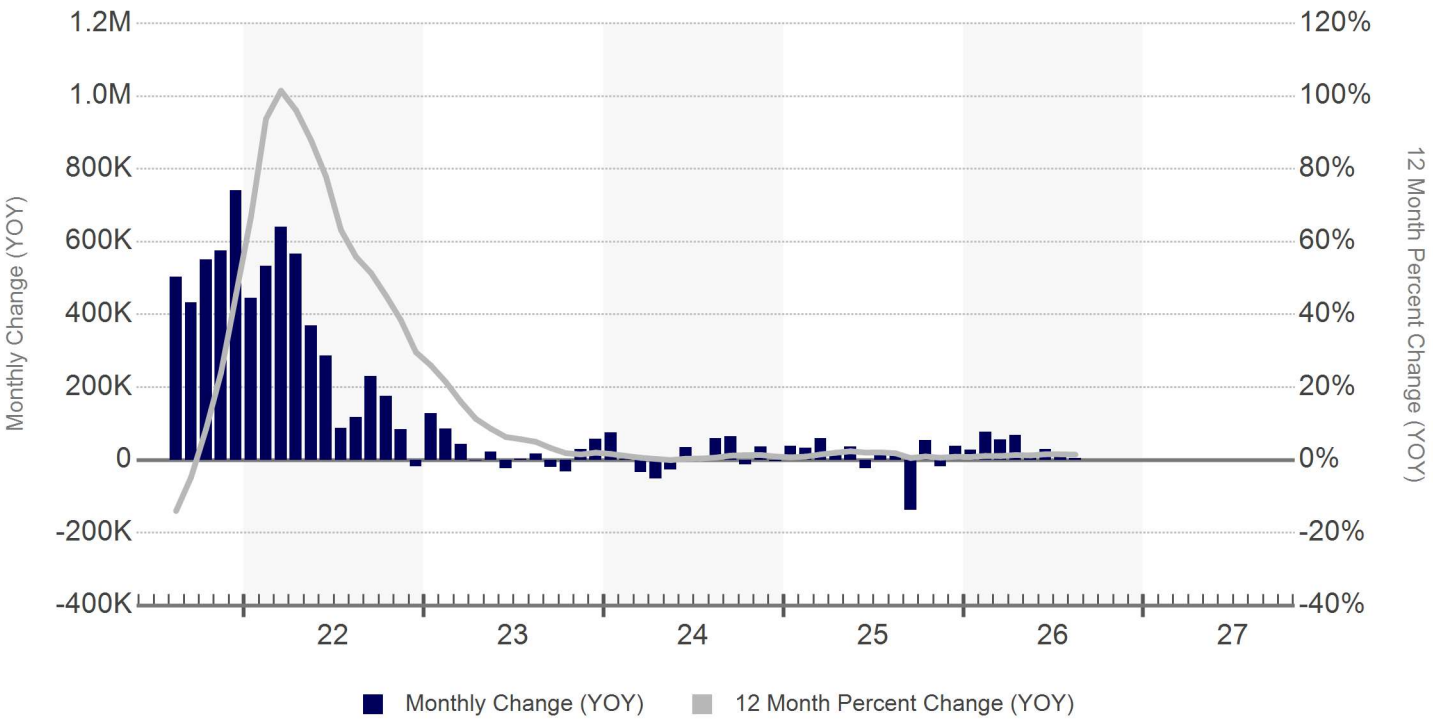
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Performance

SUPPLY CHANGE



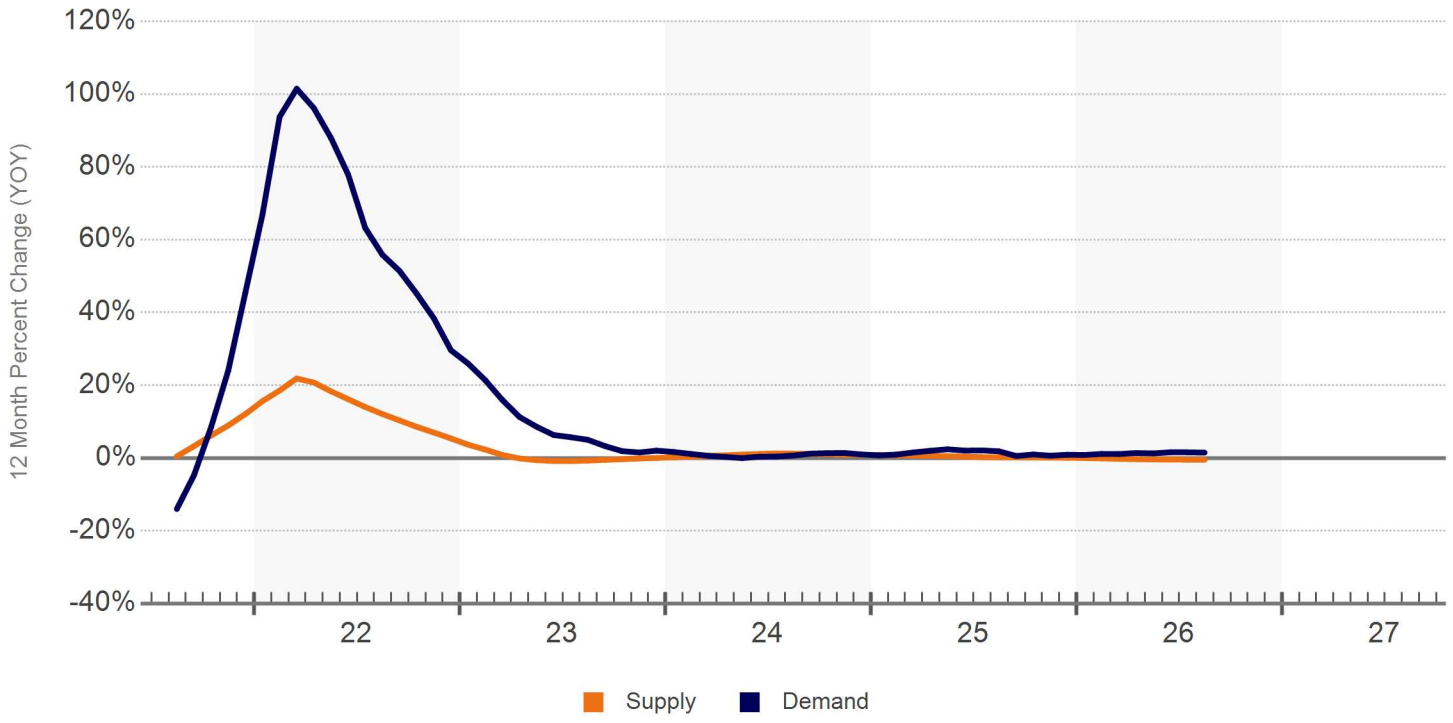
DEMAND CHANGE



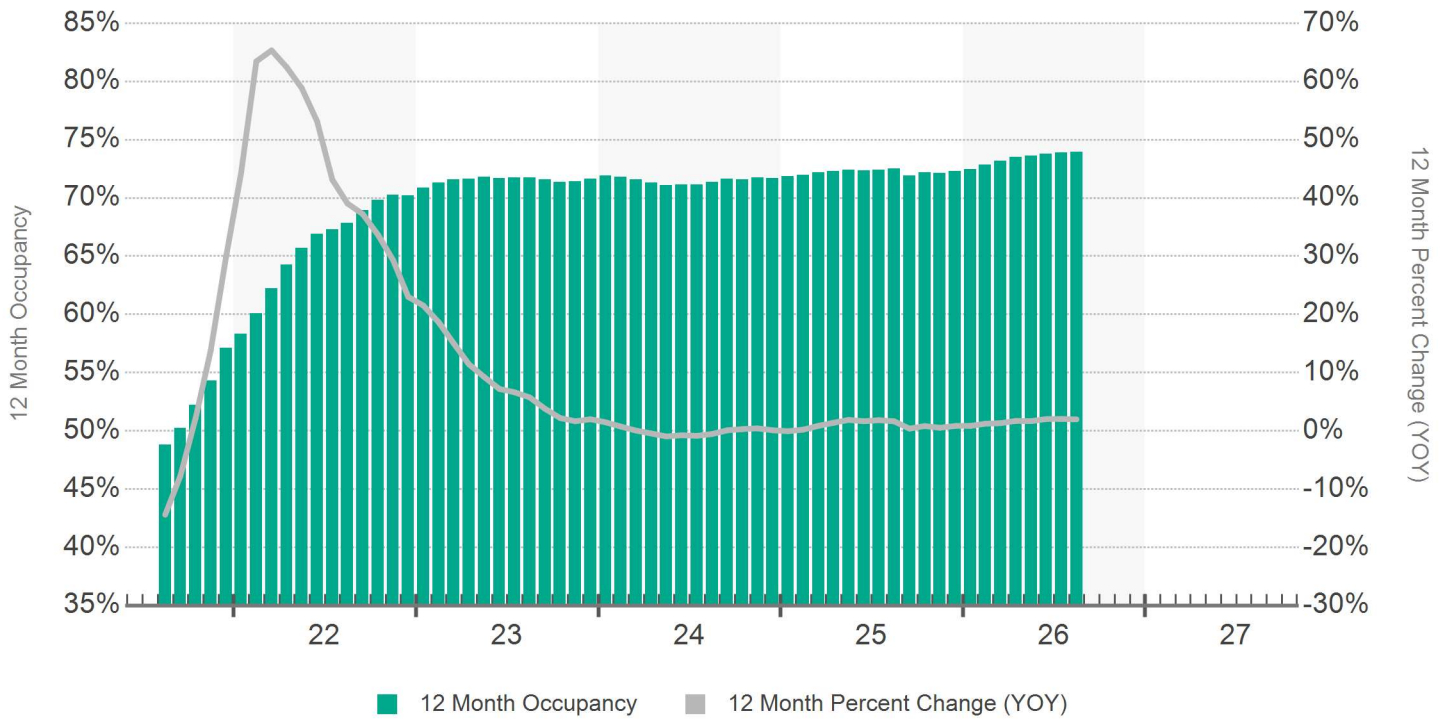
Performance

Orange County Hospitality

SUPPLY & DEMAND CHANGE

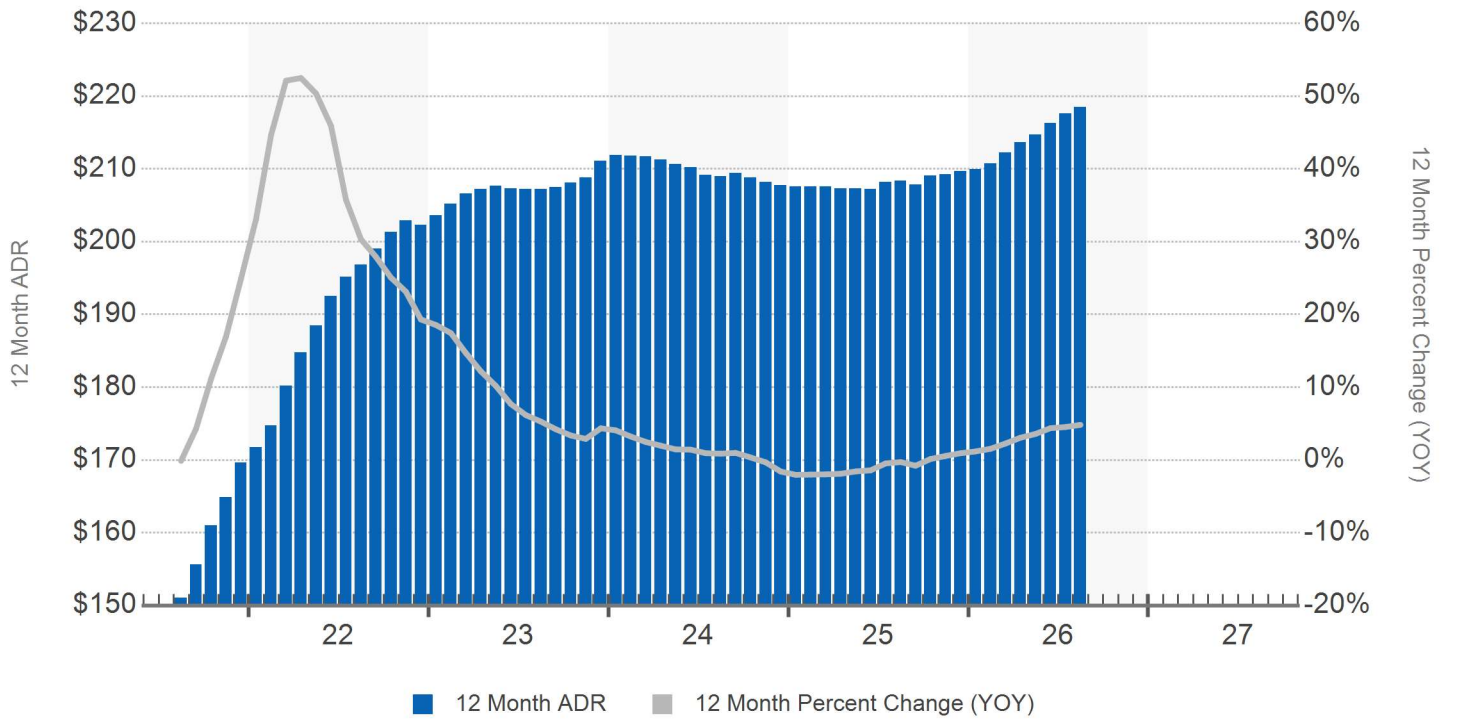


OCCUPANCY

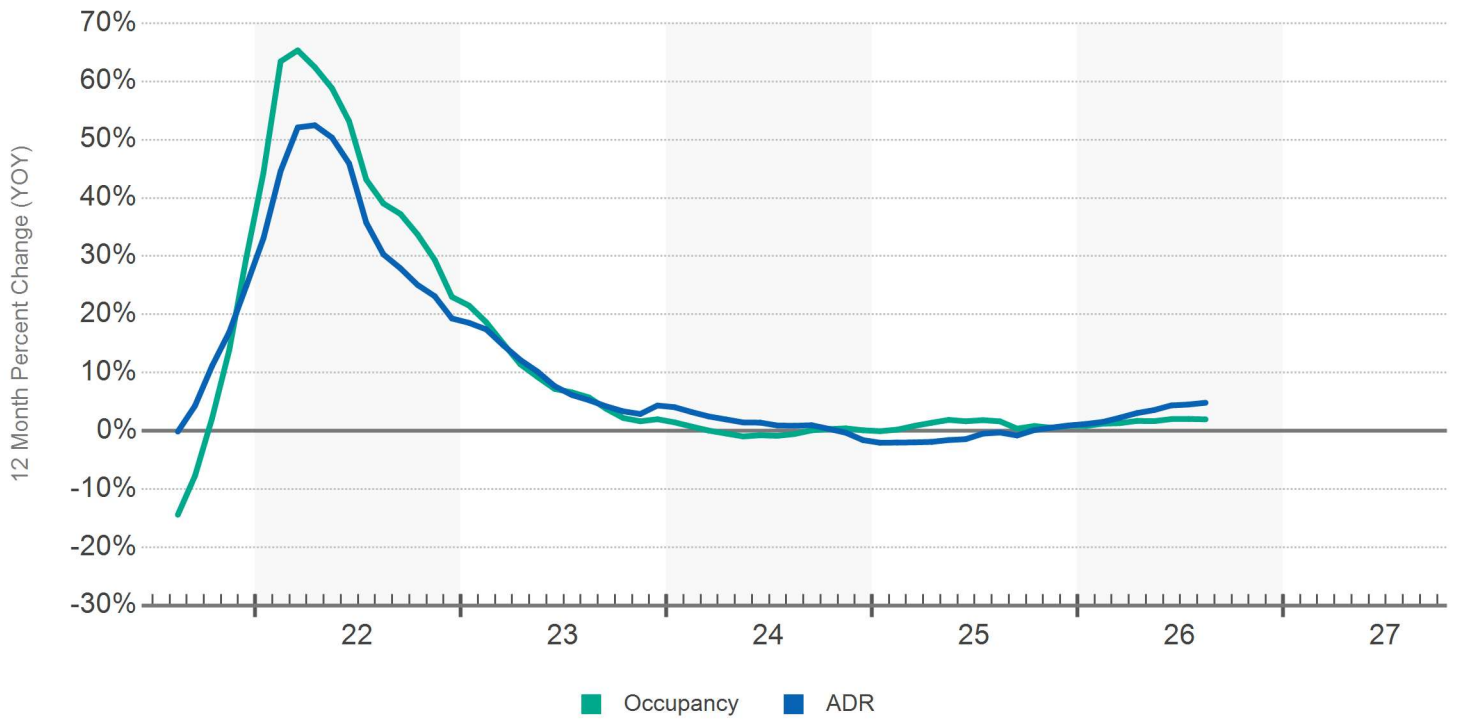


Performance

ADR



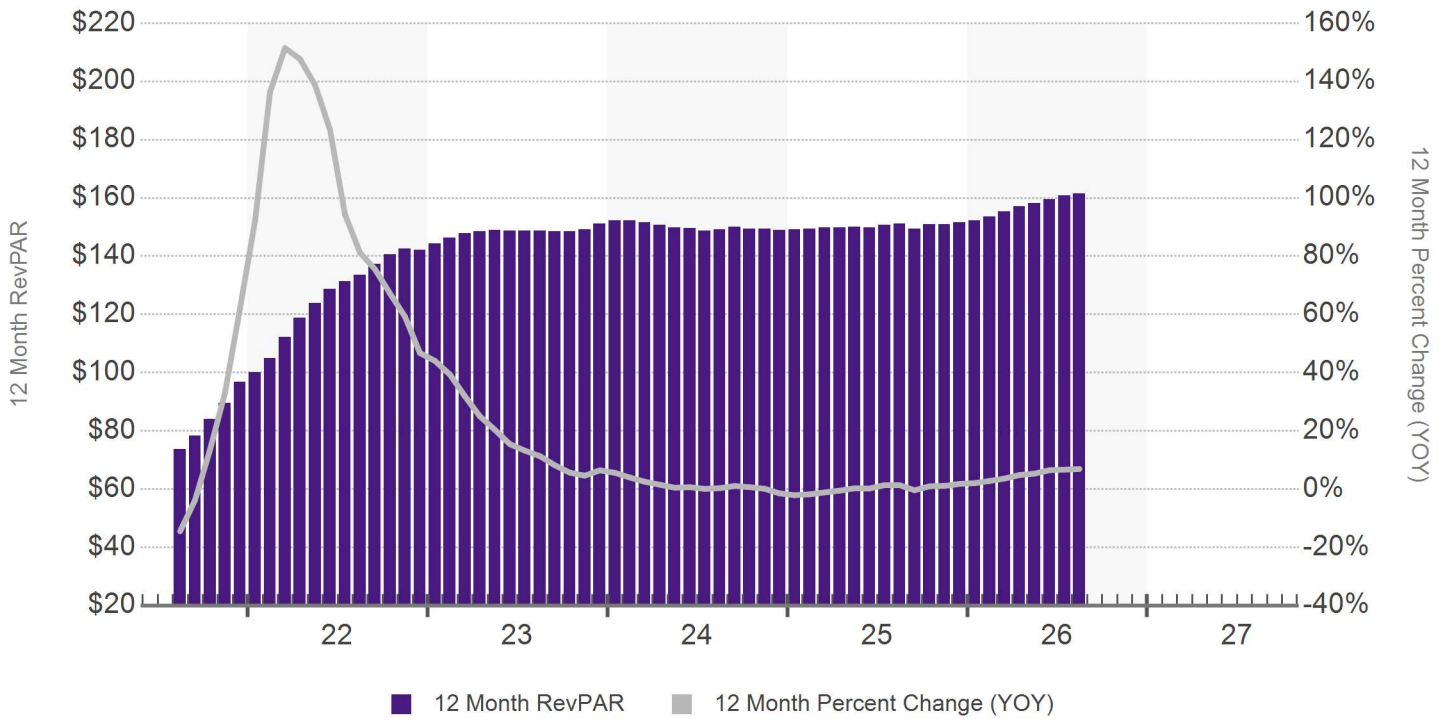
OCCUPANCY & ADR CHANGE



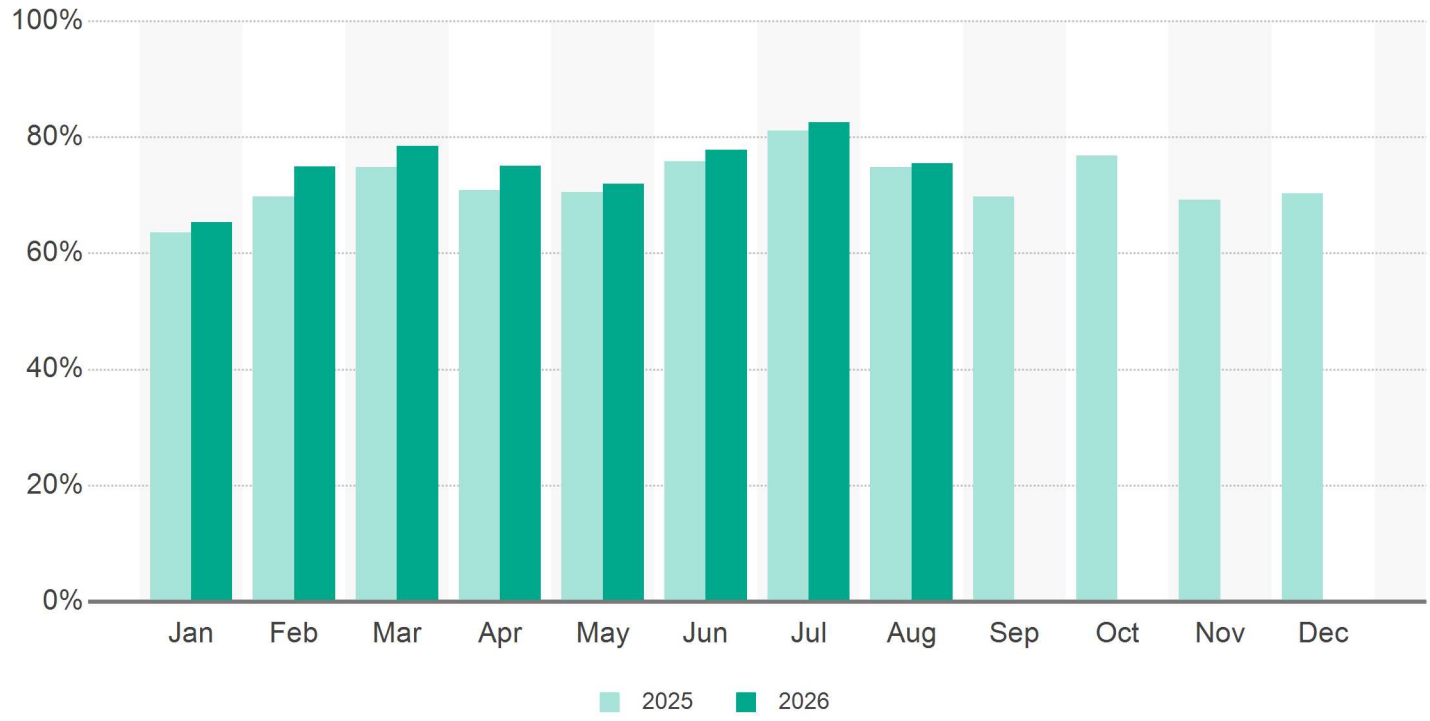
Performance

Orange County Hospitality

REVPAR



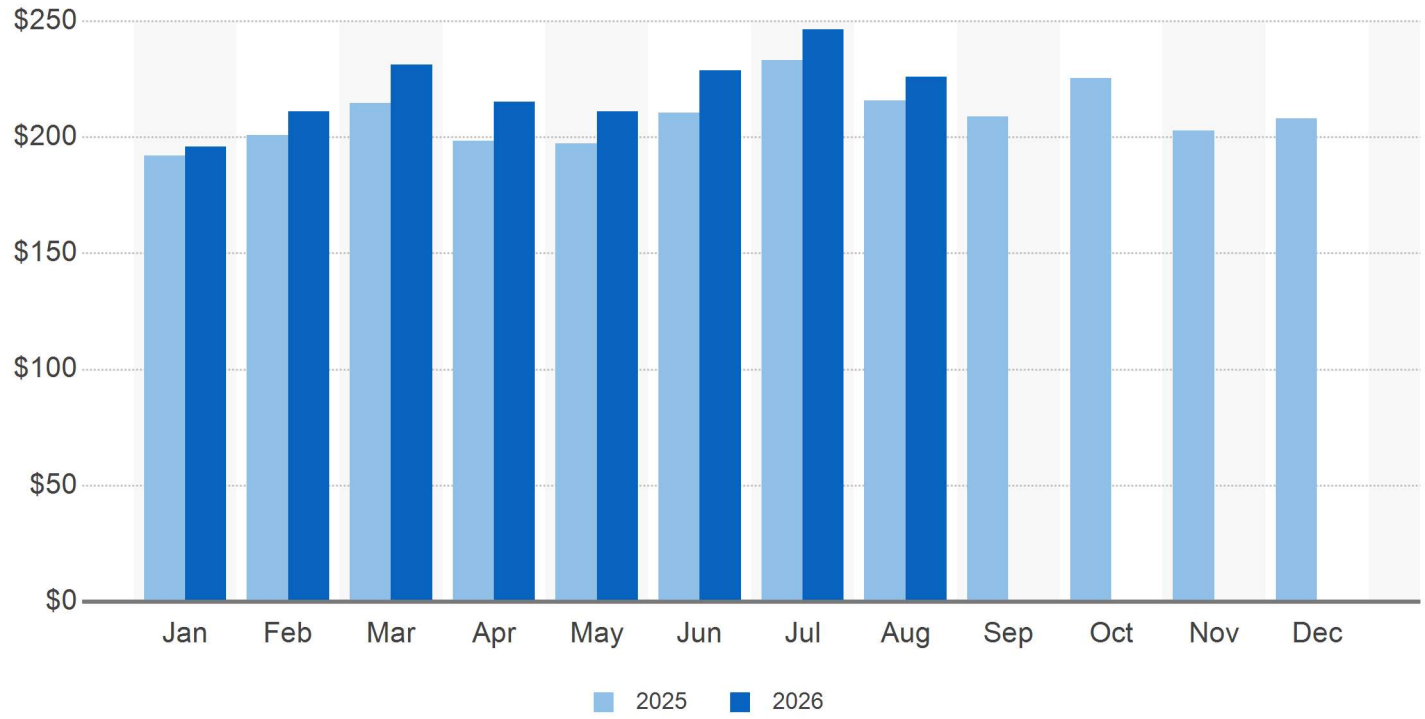
OCCUPANCY MONTHLY



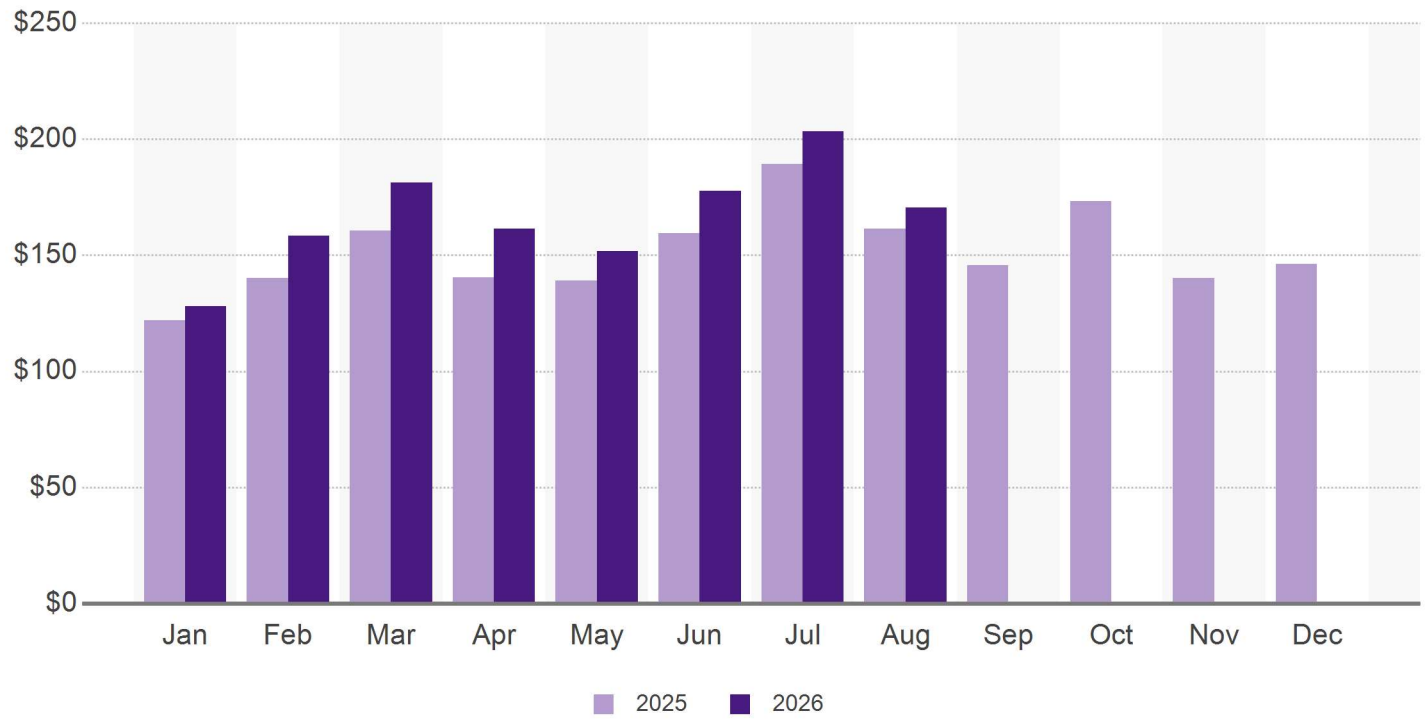
Performance

Orange County Hospitality

ADR MONTHLY

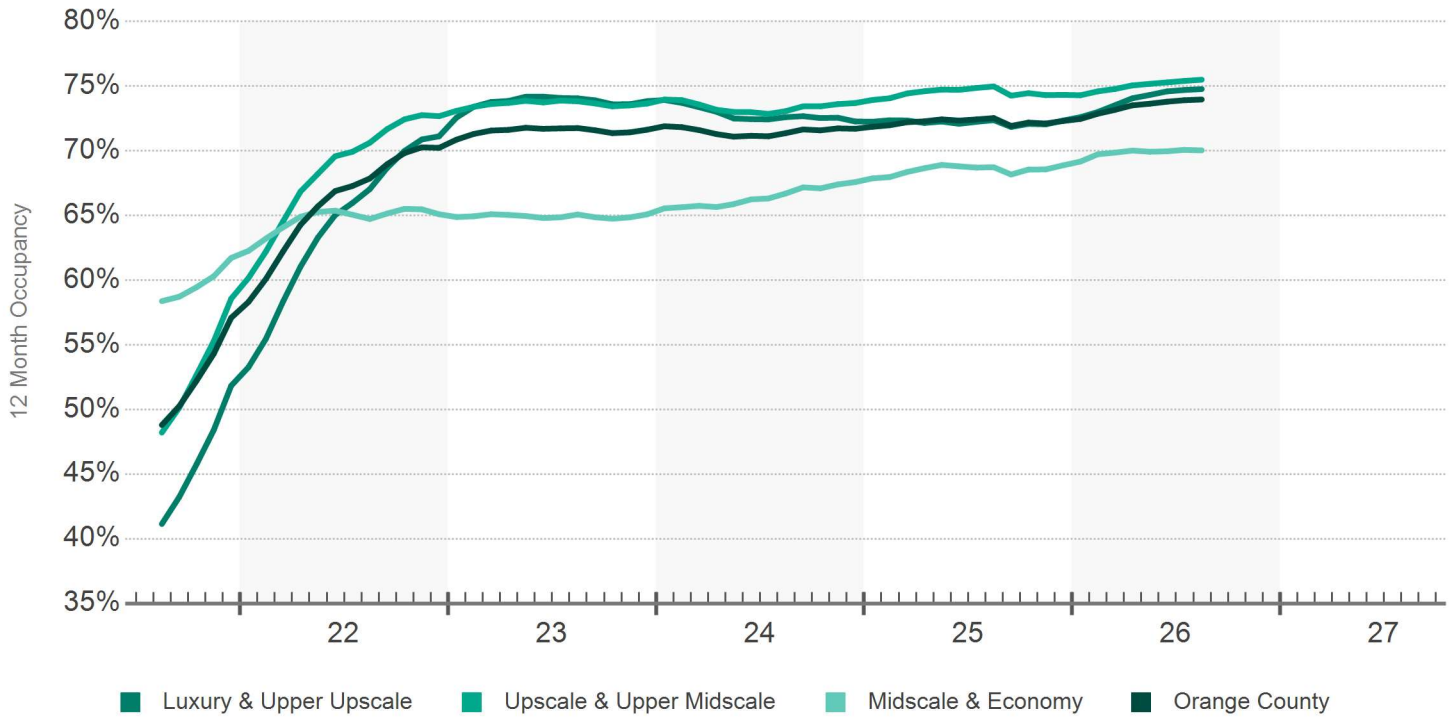


REVPAR MONTHLY

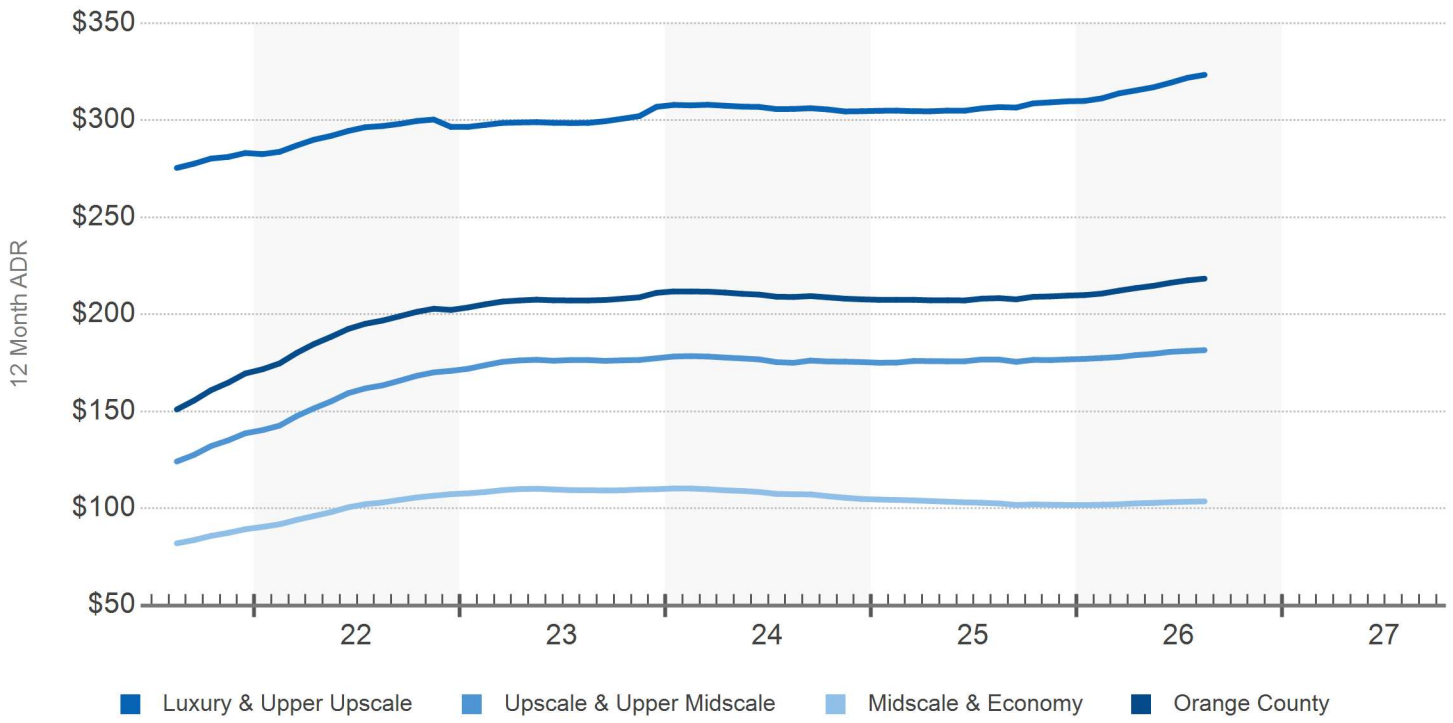


Performance

OCCUPANCY BY CLASS

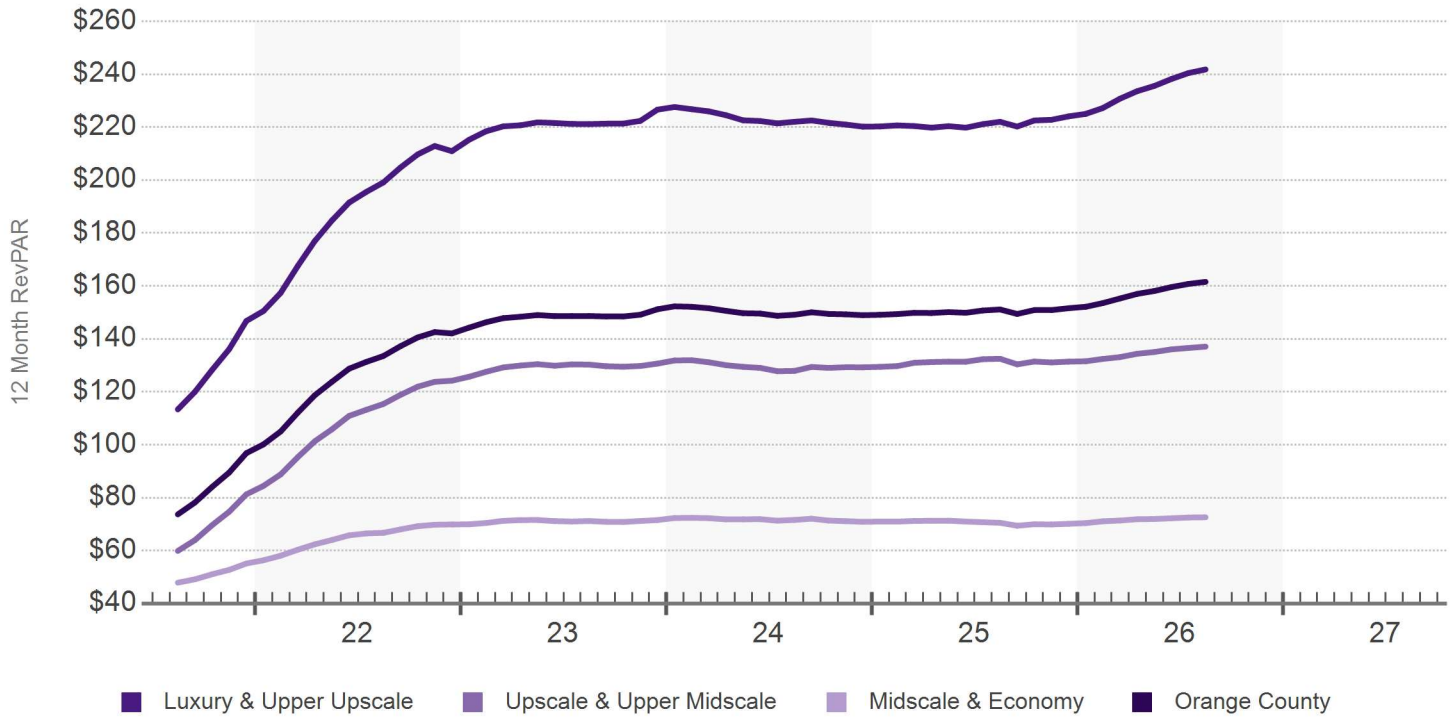


ADR BY CLASS

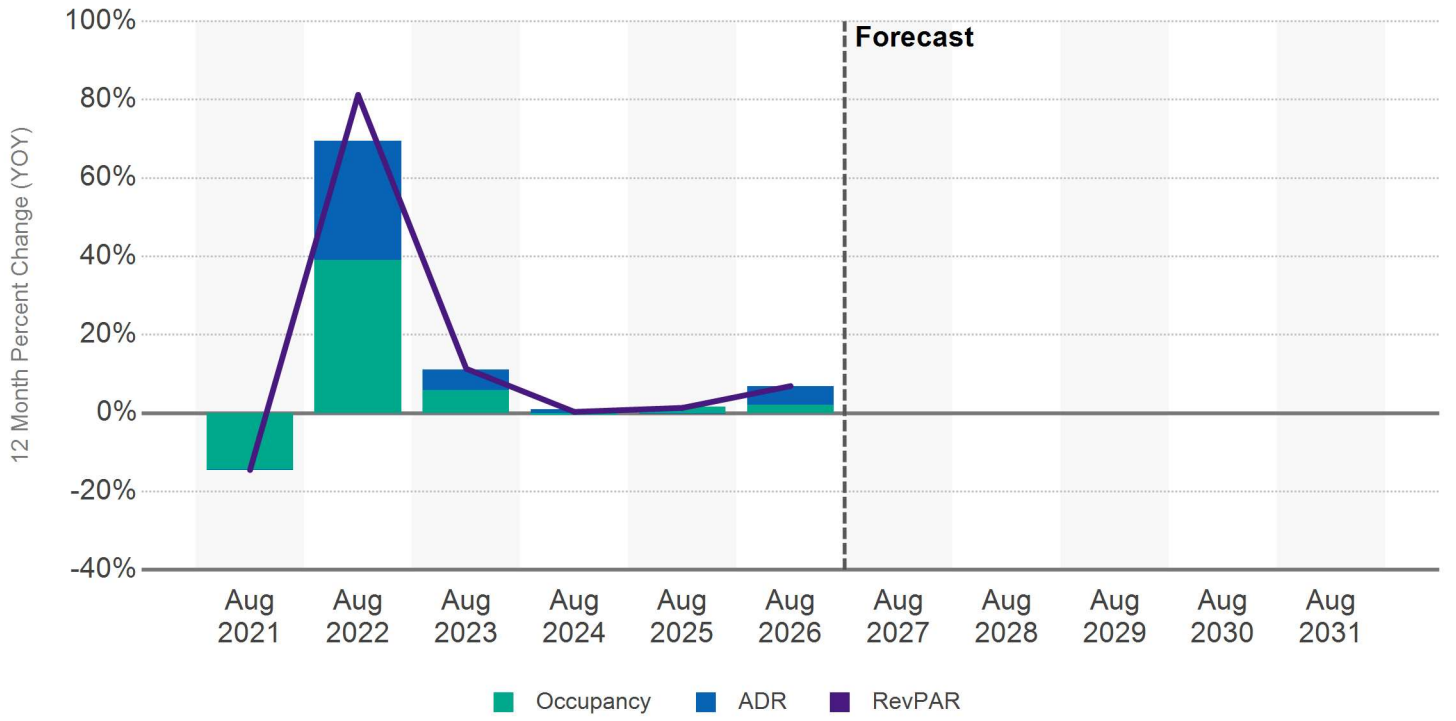


Performance

REVPAR BY CLASS

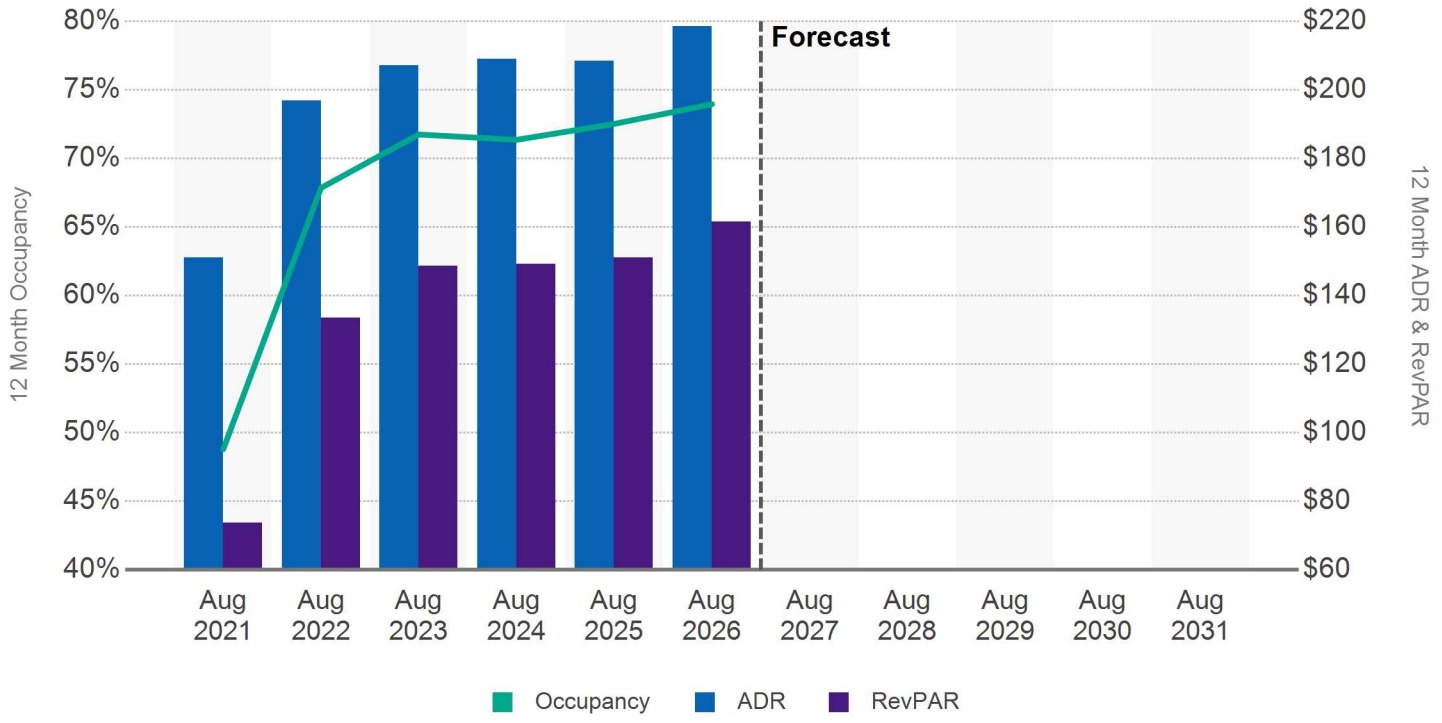


REVPAR GROWTH COMPOSITION



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OCCUPANCY, ADR & REVPAR



HOTEL PROFITABILITY (12 MONTH AVERAGE)

	August 12 Mo			YOY % Change	
Market	**% of Revenues**	**PAR**	**POR**	**PAR**	**POR**
Revenue					
Rooms	61.3%	$174	$236.25	10.1%	6.0%
Food	16.1%	$55	$75.37	3.2%	-0.8%
Beverage	5.7%	$19	$26.36	1.9%	-2.1%
Other F&B	7.6%	$26	$36.06	2.7%	-2.4%
Other Departments	4.0%	$11	$15.36	6.2%	2.4%
Miscellaneous Income	3.8%	$11	$15.48	-0.6%	-5.0%
Total Revenue	**100%**	**$284**	**$385.48**	**8.9%**	**4.8%**
Operating Expenses					
Rooms	28.4%	$49	$67.12	8.5%	4.5%
Food & Beverage	72.1%	$70	$96.83	3.1%	-0.8%
Other Departments	75.6%	$10	$13.49	-12.0%	-16.0%
Administrative & General	8.7%	$25	$33.51	11.2%	7.1%
Information & Telecommunication Systems	1.6%	$5	$6.49	6.1%	1.5%
Sales & Marketing	8.3%	$24	$32.01	6.3%	2.3%
Property Operations & Maintenance	4.1%	$12	$15.96	2.0%	-1.8%
Utilities	3.4%	$10	$13.29	19.1%	14.7%
Gross Operating Profit	**32.2%**	**$92**	**$124.32**	**10.7%**	**6.6%**
Management Fees	2.9%	$9	$12.54	4.0%	0.4%
Rent	1.7%	$6	$7.65	11.1%	6.3%
Property Taxes	3.0%	$9	$12.29	-0.4%	-4.5%
Insurance	1.6%	$4	$6.10	0.2%	-3.5%
EBITDA	**23.0%**	**$65**	**$88.80**	**15.3%**	**11.0%**
Total Labor Costs	**38.9%**	**$110**	**$149.88**	**8.5%**	**4.5%**

(1) Percentage of Revenues for departmental expenses (Rooms, Food & Beverage, and Other Departments) are based on their respective departmental revenues. All other expense percentages are based on Total Revenue.

(2) Labor costs are already included in the operating expenses above. Amounts shown in Total Labor Costs are for additional detail only.

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Hotel construction activity across Orange County remains exceptionally restrained relative to the market's size, tourism significance, and long-term investment appeal. Development conditions continue to be shaped by elevated construction costs, higher financing expenses, labor constraints, and increasingly selective lending standards. These factors have significantly reduced the number of projects moving from planning into active construction despite continued investor interest in the market. As a result, Orange County's pipeline remains modest compared with many major lodging markets and reflects one of the more supply-constrained development environments in California. Anaheim continues to attract the majority of development activity due to its proximity to Disneyland Resort, the Anaheim Convention Center, Angel Stadium, the Honda Center, and a growing collection of entertainment and mixed-use projects.

As a result, only 3 projects totaling roughly 670 rooms remain under active development, expected to increase supply by 1.1% through 2028. The 125-room Tribute Portfolio Anaheim Downtown is scheduled to open in March 2027, followed by the 172-room Home2 Suites by Hilton Orange County in mid-2027 and the 371-room Kimpton Garden Grove Anaheim in late 2028. The Kimpton, part of a five-acre mixed-use development by SCG America Group, will incorporate food and beverage and retail components while benefiting from proximity to Disneyland, the Anaheim Convention Center, Angel Stadium, and the Honda Center. The project highlights continued investor confidence in the region's leisure-driven demand base and its concentration of large-scale event generators.

The most recent supply addition was the 91-room La Quinta Inn & Suites in the Northwest/Fullerton submarket, which opened in February 2025. Looking ahead, development activity remains concentrated along the Disneyland corridor, where several projects are progressing through final planning stages. These include a proposed Le Méridien in Garden Grove, along with multiple AC Hotels planned across Anaheim South, Costa Mesa, and Laguna Hills.

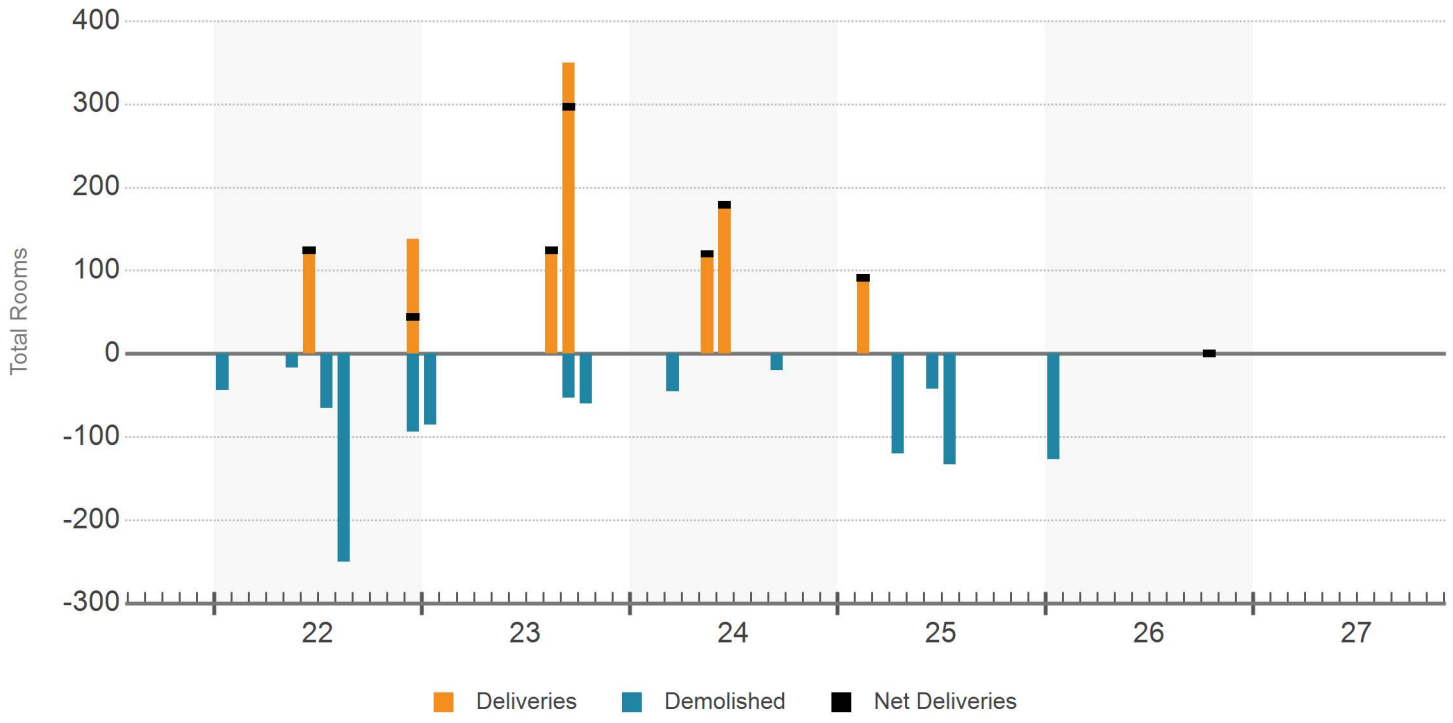
From a market perspective, the limited size of the active pipeline suggests only modest competitive pressure over the near term. New inventory represents a small percentage of existing room supply and is scheduled to enter the market gradually over several years rather than through a concentrated delivery cycle. Looking further ahead, Anaheim's DisneylandForward initiative may encourage additional hospitality development as the resort district evolves and new entertainment, dining, and mixed-use components are introduced. Similarly, broader redevelopment activity occurring around the Honda Center and OCVIBE district could create opportunities for future hotel investment. Nevertheless, the county's high barriers to entry, constrained development sites, extensive entitlement requirements, and elevated capital costs are expected to continue limiting new supply growth. These conditions should remain supportive of occupancy and pricing fundamentals while helping preserve the competitive positioning of existing assets throughout the market.

Momentum could build further following Anaheim's approval of the DisneylandForward zoning initiative, which expands flexibility for mixed-use development across the resort district. This framework is expected to support additional hospitality, retail, and entertainment projects over time, reshaping the area's development landscape. Even with these projects in the pipeline, overall supply growth remains restrained relative to other major California markets, as elevated financing costs and tighter capital conditions continue to limit new development. However, increasing interest along Anaheim's redevelopment corridor suggests construction activity could reaccelerate once capital markets stabilize and economic visibility improves.

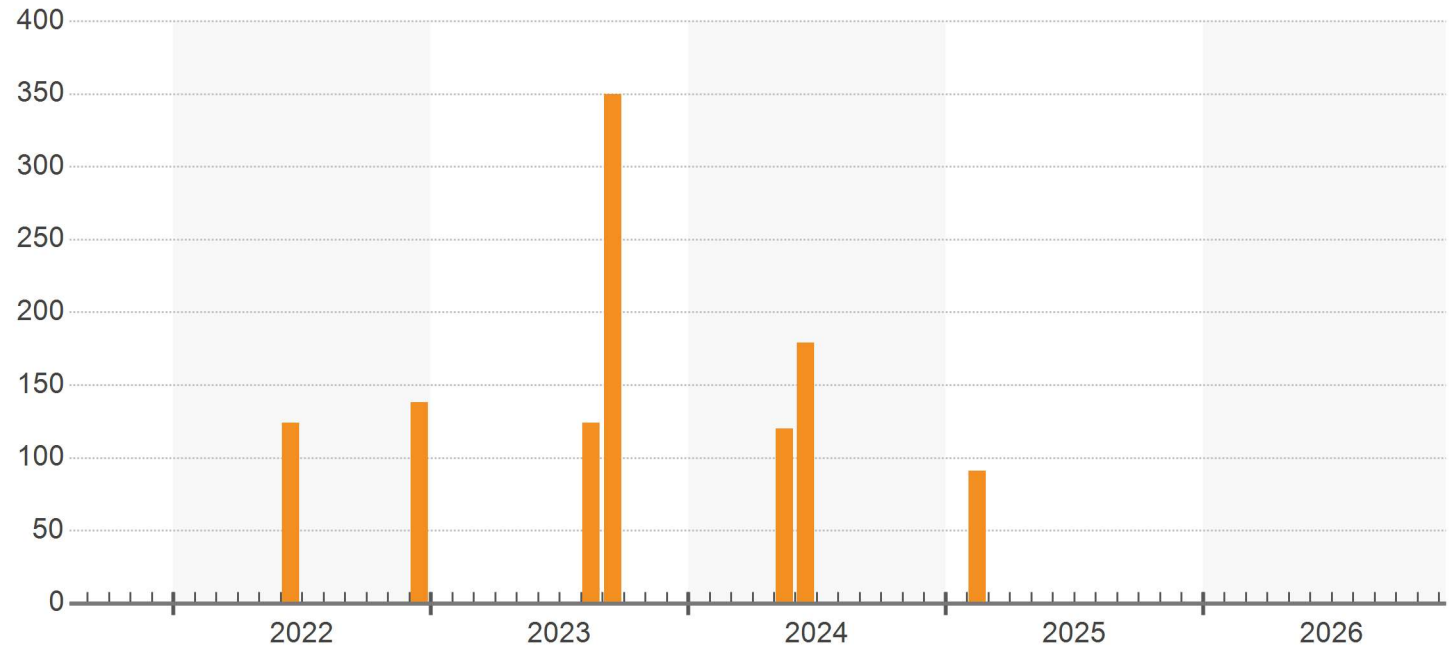
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Construction

DELIVERIES & DEMOLITIONS



ROOMS DELIVERED

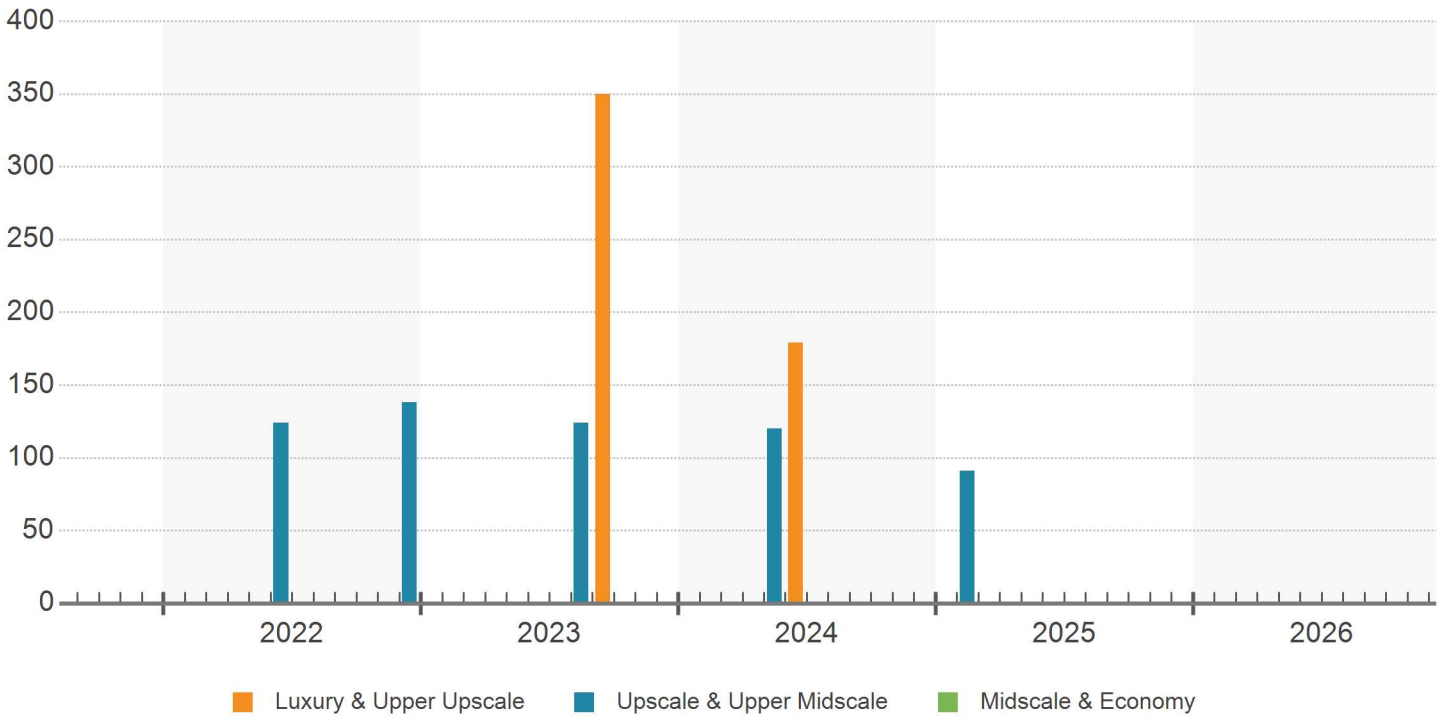


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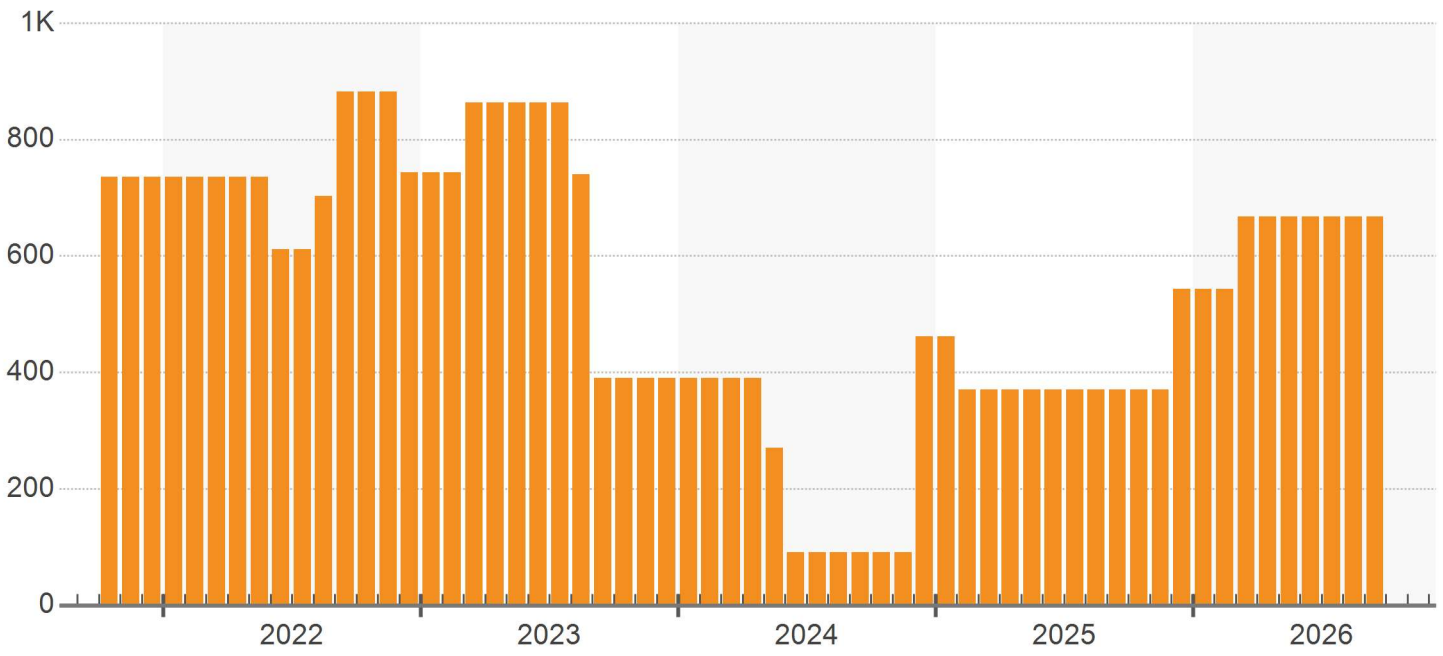
Construction

Orange County Hospitality

ROOMS DELIVERED BY CLASS

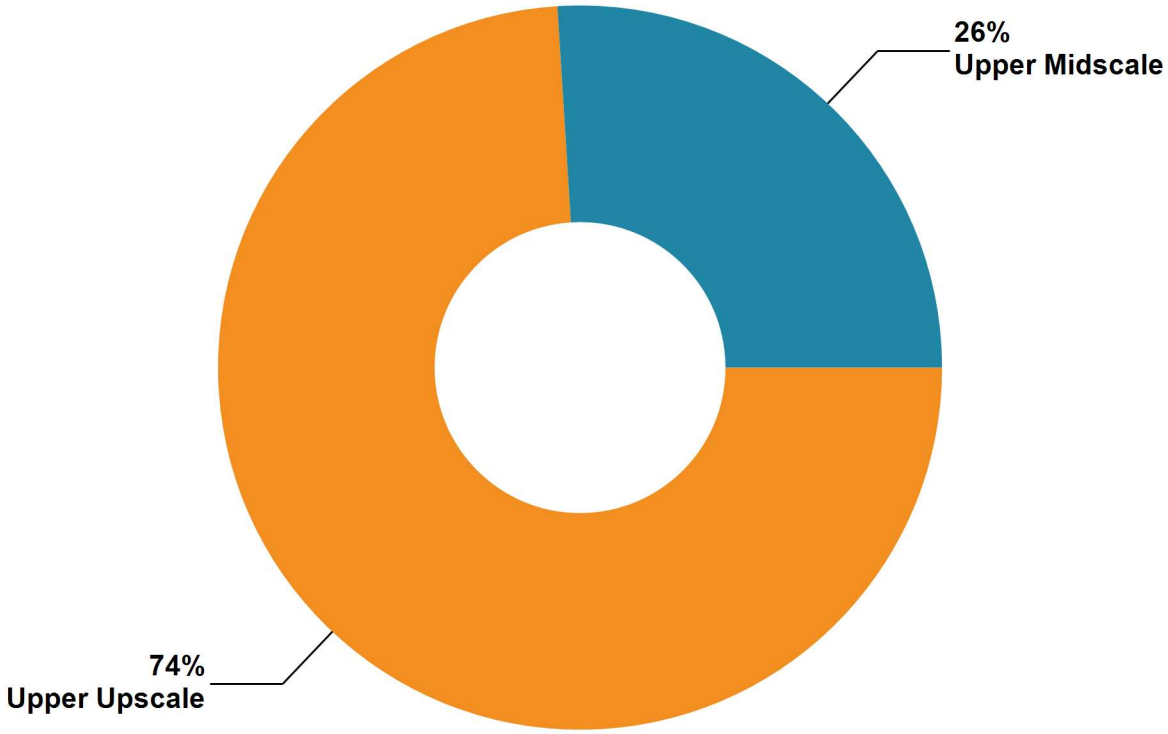


ROOMS UNDER CONSTRUCTION

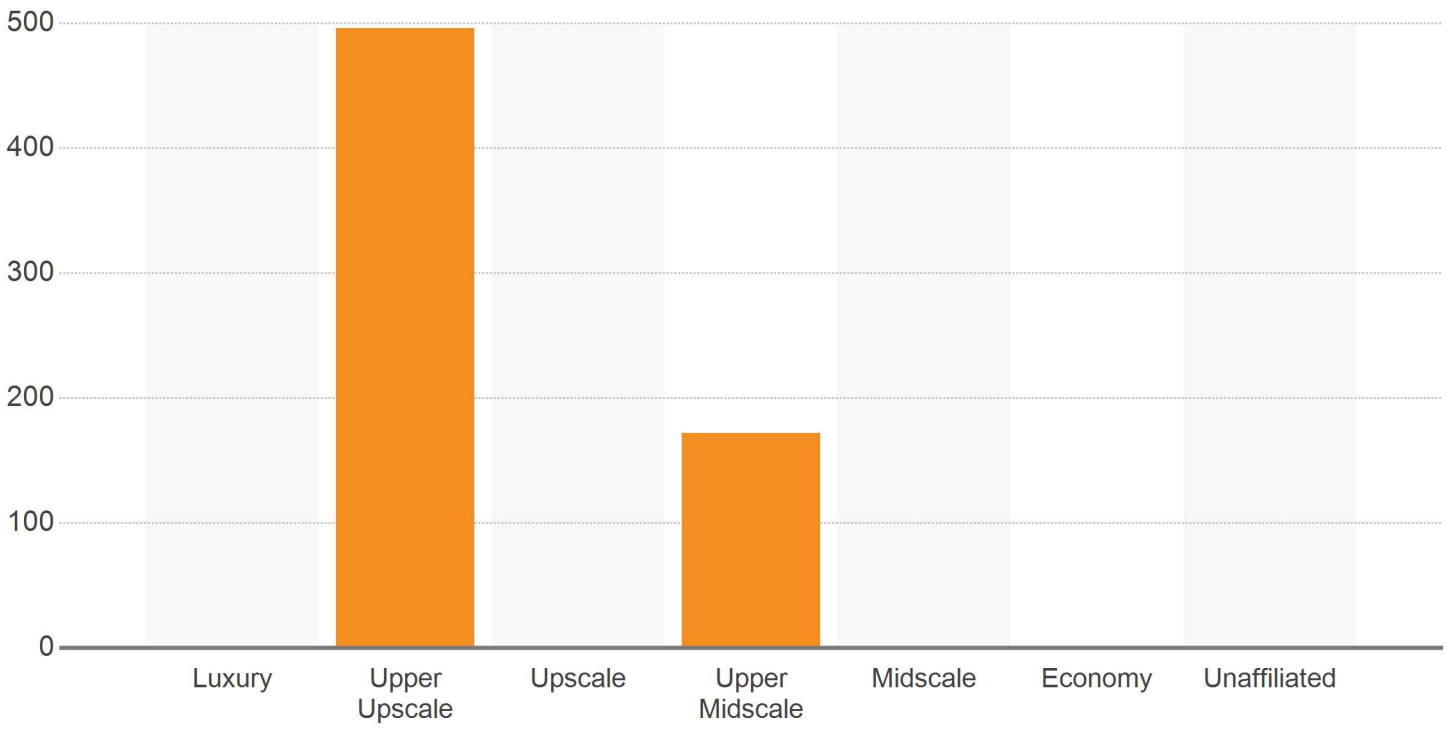


Construction

TOTAL ROOMS UNDER CONSTRUCTION BY SCALE



ROOMS UNDER CONSTRUCTION BY SCALE

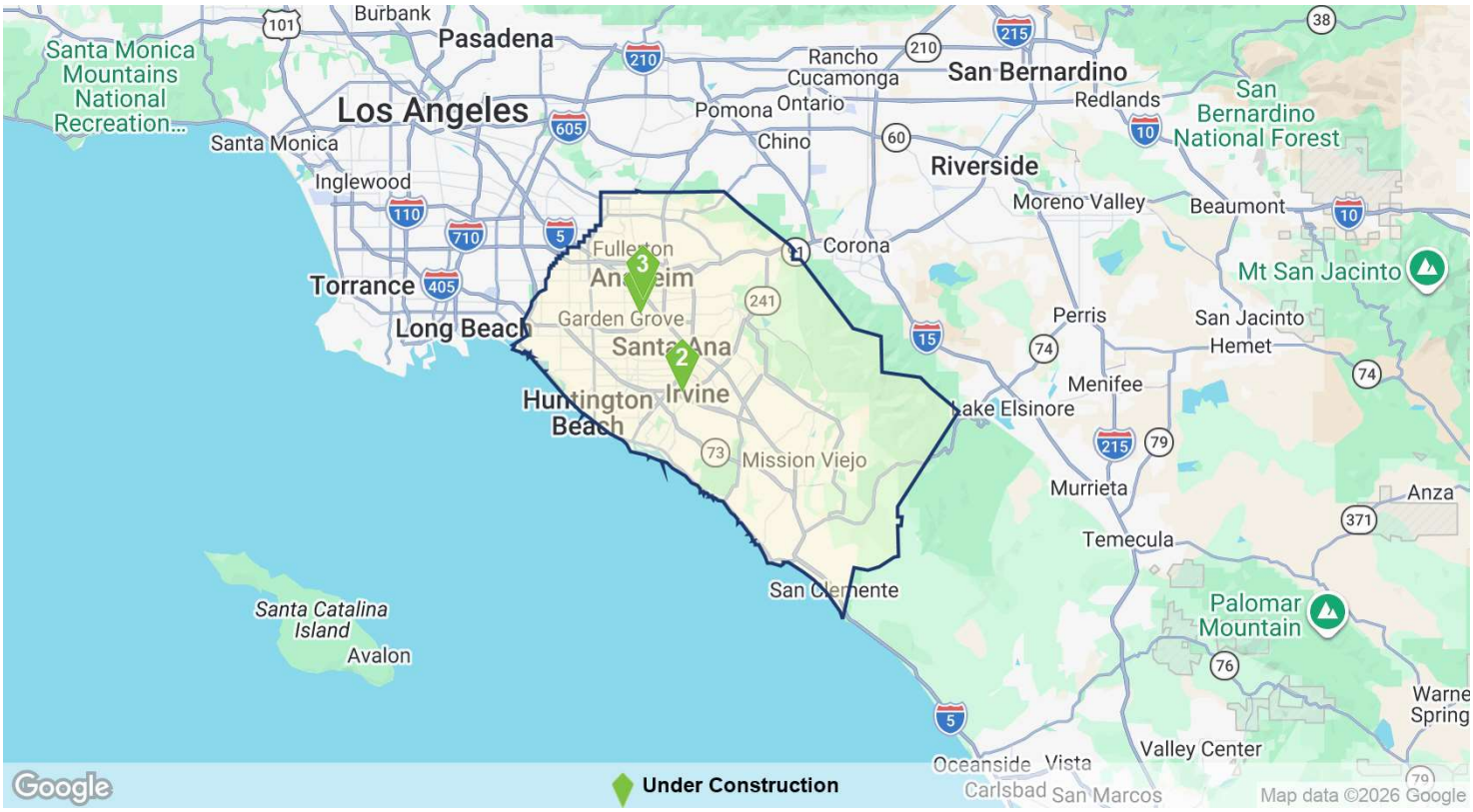


Under Construction Properties

Orange County Hospitality

Properties	Rooms	Percent of Inventory	Average Rooms
3	668	1.1%	223

UNDER CONSTRUCTION PROPERTIES



UNDER CONSTRUCTION

	Property Name/Address	Class	Rooms	Stories	Start	Complete	Brand/Developer
1	Kimpton Garden Grove Anaheim S. Harbor Blvd. & Twintre Blvd	Upper Upscale	371	14	Dec 2024	Sep 2028	Kimpton SCG America
2	Home2 Suites by Hilton Irvine Ora… 17850 Von Karman Ave	Upper Midscale	172	5	Dec 2025	Jun 2027	Home2 Suites by Hilton S3 Hotel Group
3	Tribute Portfolio Anaheim Downtown 1730 S Clementine St	Upper Upscale	125	6	Mar 2026	Mar 2027	Tribute Portfolio JB Hotel Group

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Orange County remains one of the premier lodging investment markets in California due to its combination of coastal resort assets, convention-oriented hotels, and business-focused lodging properties. The market attracts a broad range of investor profiles, from private owners and regional operators to institutional capital seeking long-term exposure to Southern California hospitality assets. Limited availability of developable land, strong tourism fundamentals, and the presence of several high-barrier-to-entry coastal submarkets have historically supported elevated hotel values relative to many competing markets. As a result, transaction activity tends to reflect both local operating conditions and broader capital market trends.

Investment activity moderated over the past year as elevated borrowing costs and persistent valuation gaps reduced overall transaction volume compared with the stronger acquisition environment experienced in 2024. Over the past year, 15 hotels traded for a combined $234 million, below the three-year average of $311 million.

Private buyers accounted for much of the recent acquisition activity, particularly among select-service, extended-stay, and independent hotels where transaction sizes were more approachable and financing requirements less restrictive. Coastal properties continued to attract significant attention due to their scarcity and long-term replacement-cost advantages, while convention-oriented and tourism-driven assets in Anaheim benefited from investor interest tied to continued visitation growth and long-term development initiatives. The transaction landscape increasingly reflected a bifurcated market, with premium assets sustaining stronger pricing while more operationally intensive or secondary properties traded at more moderate valuations.

Several recent transactions highlight these dynamics. Larger trades remained concentrated in Anaheim and Irvine, while multiple smaller acquisitions occurred across extended-stay and select-service properties throughout the county. The most significant transaction closed in May 2026, when the 352-room Anaheim Resort Suites, which is under a ground lease, sold for $78.75 million, or $223,722 per key. In early 2026, the hotel dropped its national chain loyalty program with Choice Hotels under the Cambria Hotel & Suites brand and rebranded as Anaheim Suites Hotel. The hotel is known for its large recreation water park, pool area, and suite-style rooms.

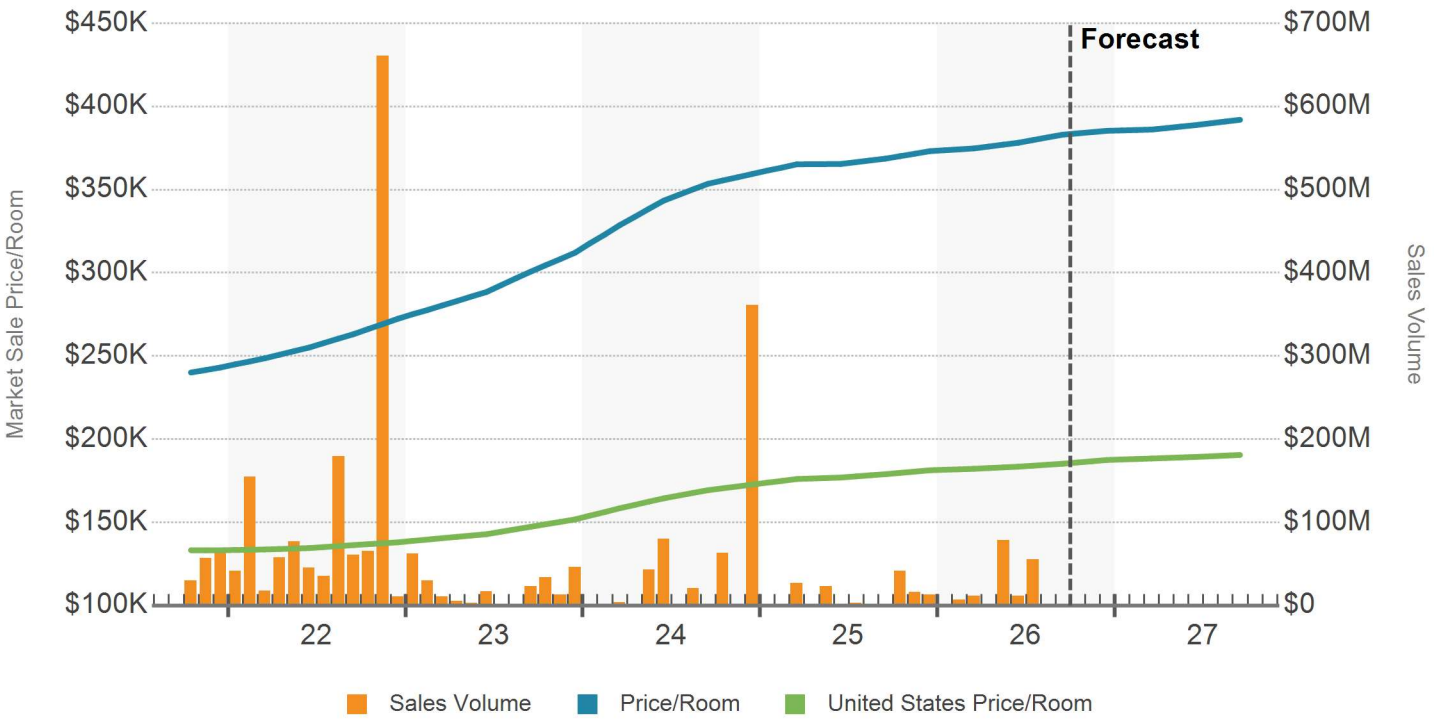
In late 2025, several Sonesta-branded extended-stay and select-service properties traded as part of portfolio transactions involving Service Properties Trust, generally at pricing below $130,000 per key. These deals reflect growing interest from buyers focused on yield and operational stability rather than near-term appreciation.

Resort-oriented submarkets such as Newport Beach, Dana Point, and Laguna Beach continued to capture a disproportionate share of total dollar volume, supported by limited supply and strong leisure fundamentals. In contrast, Anaheim remained relatively quiet outside of the marquee portfolio sale, reflecting its concentration of larger, higher-priced assets and wider bid-ask spreads.

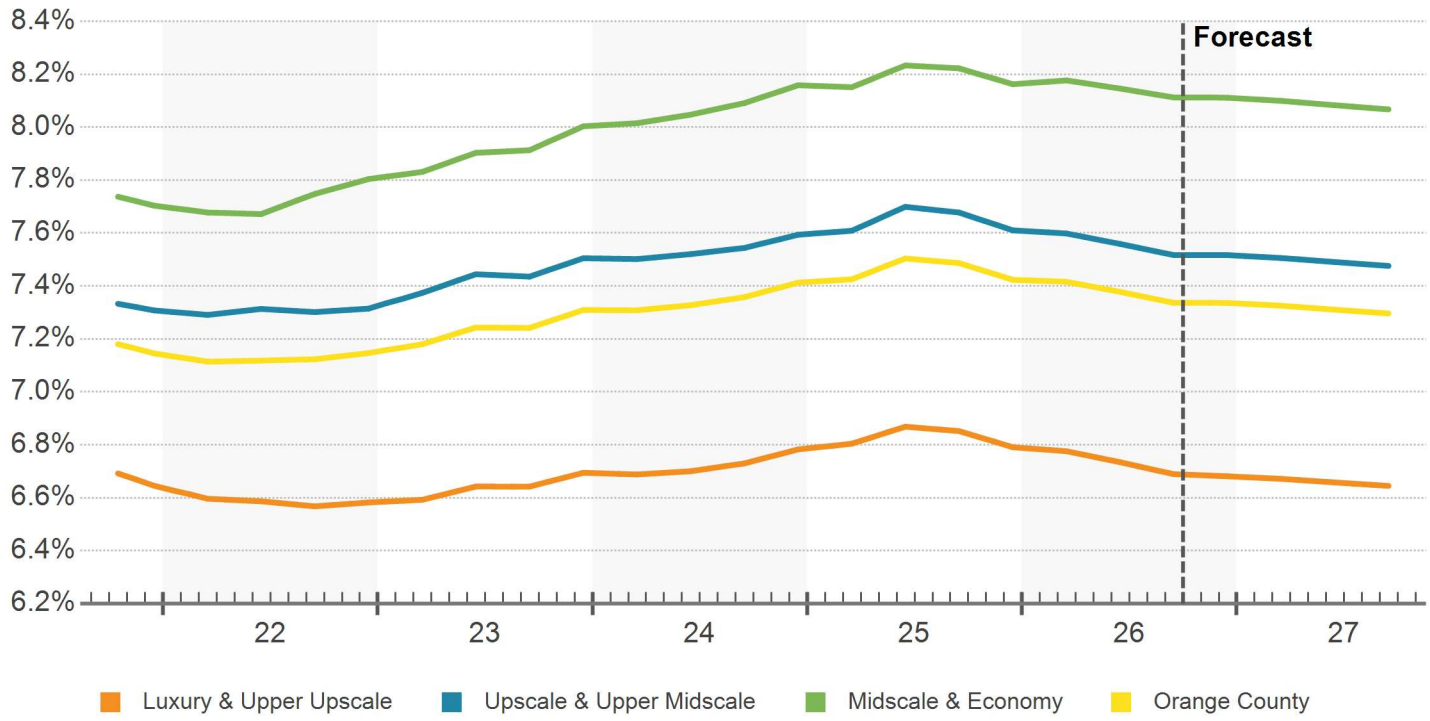
Looking ahead, transaction momentum is expected to remain measured through 2026 with sales driven by refinancing risks amidst elevated borrowing costs, and ongoing brand-mandated capital programs. While many investors remain cautious, Orange County's durable leisure appeal, coastal scarcity, and proximity to global attractions continue to attract patient capital focused on long-term value creation rather than short-term trading.

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SALES VOLUME & MARKET SALE PRICE PER ROOM



MARKET CAP RATE

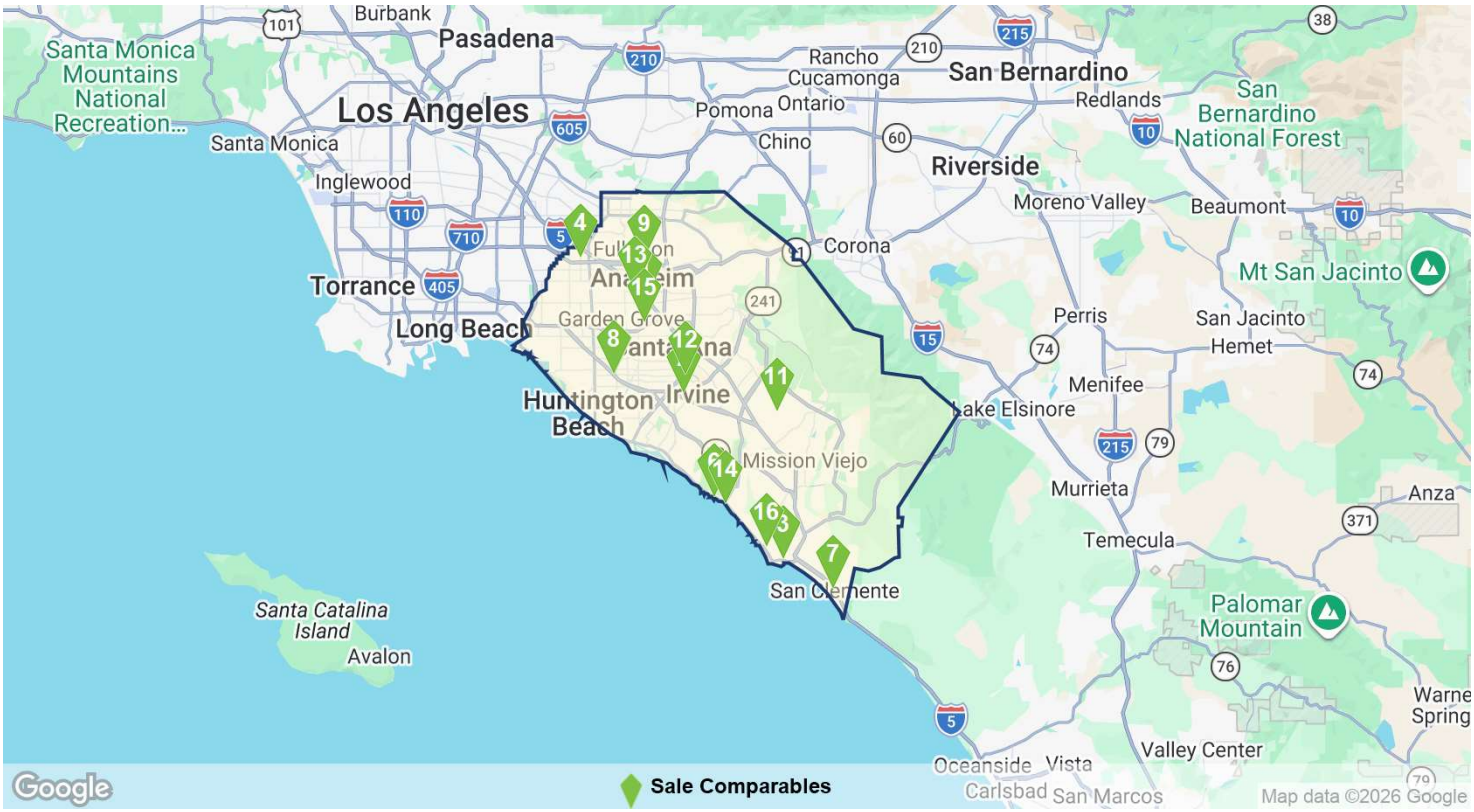


Sales Past 12 Months

Orange County Hospitality

Sale Comparables	Average Price/Room	Average Price	Average Cap Rate
16	$149K	$15.6M	5.0%

SALE COMPARABLE LOCATIONS



SALE COMPARABLES SUMMARY STATISTICS

Sale Attributes	Low	Average	Median	High
Sale Price	$4,515,000	$15,611,733	$11,000,000	$78,750,000
Price/Room	$33,947	$148,683	$130,000	$518,182
Cap Rate	5.0%	5.0%	5.0%	5.0%
Time Since Sale in Months	3.4	7.8	7.5	11.8
Property Attributes	**Low**	**Average**	**Median**	**High**
Property Size in Rooms	14	113	100	352
Number of Floors	1	3	3	12
Total Meeting Space	270	3,515	3,515	22,619
Year Built	1960	1987	1989	2019
Class	Economy	Upper Midscale	Midscale	Luxury

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Sales Past 12 Months

RECENT SIGNIFICANT SALES

		Property Information				Sale Information		
	Property Name/Address	Class	Yr Built	Rooms	Brand	Sale Date	Price	Price/Room
1	SpringHill Suites by Marriott Anah… 101 E Katella Ave	Upscale	2019	352	SpringHill Suites	5/27/2026	$78,750,000	$223,722
2	Hyatt House Irvine John Wayne Ai… 2320 Main St	Upscale	2017	149	Hyatt House	7/1/2026	$38,000,000	$255,034
3	Best Western Plus Marina Shores… 34280 Pacific Coast Hwy	Upper Midscale	1988	87	Best Western Plus	10/17/2025	$17,500,000	$201,149
4	Howard Johnson 7039 Orangethorpe Ave	Economy	1968	100	Howard Johnson	12/31/2025	$13,000,000	$130,000
5	Sonesta Select Huntington Beach… 9950 Slater Ave	Upscale	1991	150	Sonesta Select	10/29/2025	$13,000,000	$86,667
6	Hotel Joaquin 985 N Coast Hwy	Luxury	1970	22	-	3/12/2026	$11,400,000	$518,182
7	The Volare, an Ascend Collection… 111 Avenida de la Estrella	Upscale	1989	72	Ascend Collection	6/4/2026	$11,200,000	$155,556
8	Sonesta ES Suites Huntington Be… 9930 Slater Ave	Upper Midscale	1991	122	Sonesta ES Suites	10/29/2025	$11,000,000	$90,164
9	Akua Motor Inn 1018 E Orangethorpe Ave	Economy	1961	63	-	2/27/2026	$6,700,000	$106,349
10	Budget Inn 1042 W Ball Rd	Economy	1960	24	-	7/1/2026	$6,678,159	$278,257
11	Sonesta Simply Suites East Irvine… 3 S Pointe Dr	Midscale	1997	122	Sonesta Simply Suites	11/13/2025	$5,936,000	$48,656
12	Sonesta Simply Suites Orange Co… 2600 Red Hill Ave	Midscale	2001	122	Sonesta Simply Suites	11/13/2025	$5,775,000	$47,336
13	Grand Park Inn Anaheim Maingate 1030 W Ball Rd	Midscale	1983	43	-	7/1/2026	$5,421,841	$126,089
14	14 West Laguna Beach Hotel 690 S Coast Hwy	Midscale	1973	14	-	7/1/2026	$5,300,000	$378,571
15	Sonesta Simply Suites Garden Gr… 12901 Garden Grove Blvd	Midscale	1998	133	Sonesta Simply Suites	11/13/2025	$4,515,000	$33,947
16	Waldorf Astoria Monarch Beach R… 1 Monarch Beach Resort	Luxury	2001	240	Waldorf Astoria	10/17/2025	-	-

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Orange County's economy remains diverse, with professional and business services and financial activities leading white-collar employment, heavily concentrated around Irvine. Major financial anchors such as PIMCO and Pacific Life remain headquartered in Newport Beach, while Hyundai Capital America is based in Irvine. Happy Money, once noted in Tustin, now lists corporate offices in Torrance/Costa Mesa.

Tourism remains a cornerstone of the local economy, with Disneyland Resort drawing close to 19 million visitors annually and underpinning a large share of hotel demand in Anaheim. Lodging tied to the resort area typically accounts for roughly half of the city's total hotel revenue, reinforcing Anaheim's role as Orange County's primary tourism hub. While park attendance and ticket pricing have trended higher, profitability across Disney's local operations has been pressured by rising operating costs and softer hotel occupancy. Labor remains the most significant factor. California's statewide minimum wage increased to $16.50 on January 1, 2025, with higher thresholds in certain jurisdictions. In Anaheim, resort-area living-wage requirements pushed covered Disney wages to $19.90 in 2024 and $20.42 in 2025, following court rulings that upheld the ordinance's applicability.

The Walt Disney Company continues to be Orange County's largest private employer, with its local workforce exceeding 35,000 employees as of 2023. Longer term, the approved DisneylandForward initiative provides a major growth catalyst. The comprehensive rezoning and redevelopment plan received final City Council approval in May 2024 and is expected to unlock at least $1.9 billion in investment over its first decade. City-commissioned studies project meaningful job creation and incremental tax revenue as new attractions, hotels, dining venues, and retail concepts are integrated within the existing resort footprint.

Group demand is anchored by the Anaheim Convention Center (ACC), the largest exhibition facility on the West Coast, offering more than 1 million square feet of exhibit space. According to Visit Anaheim, approximately 160 conventions, meetings, and events were scheduled for 2025, generating an estimated $1.4 billion in economic impact and roughly $15 million in transient occupancy tax (TOT) revenue for the city. Looking ahead, the organization has already secured 142 events for 2026, projected to produce about $1.74 billion in economic impact and nearly 600,000 hotel room nights. These figures underscore the continued importance of conventions in supporting weekday occupancy and stabilizing seasonal demand patterns across the Anaheim lodging market.

Air access remains a key supporting factor, though volumes have fluctuated in recent years. John Wayne Airport (SNA) handled a record 11.74 million passengers in 2023 before traffic declined to 11.09 million in 2024, reflecting airline capacity adjustments and softer leisure demand. Preliminary full-year indicators for 2025 suggest a modest rebound, with passenger volumes trending slightly above 2024 levels as service stabilizes and demand normalizes. The airport continues to offer strong domestic connectivity through 13 commercial carriers, reinforcing Orange County's accessibility for both leisure and business travelers.

Orange County also benefits as a drive-to tourism market, surrounded by a drive market of 20 million people within a 90-mile radius.

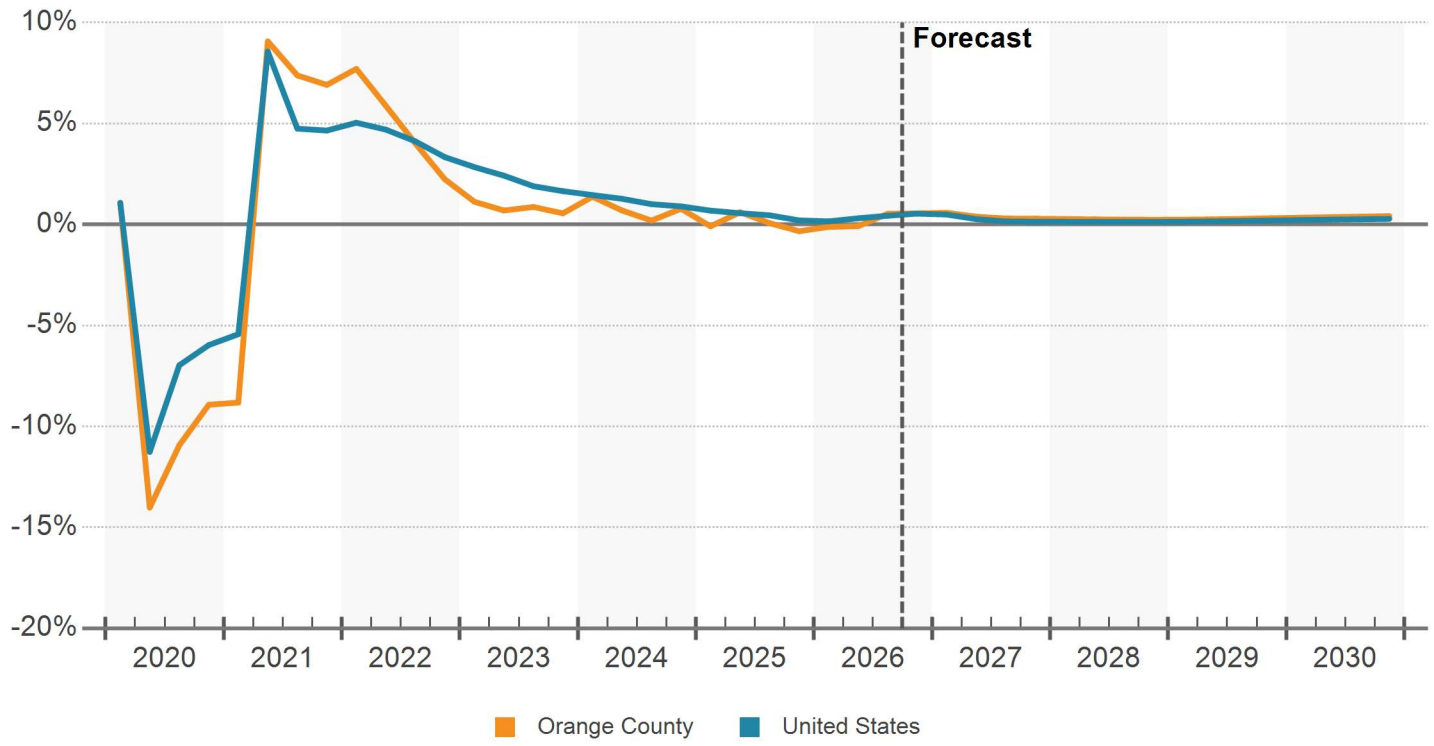
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ORANGE COUNTY EMPLOYMENT BY INDUSTRY IN THOUSANDS

	CURRENT JOBS		CURRENT GROWTH		10 YR HISTORICAL		5 YR FORECAST	
Industry	Jobs	LQ	Market	US	Market	US	Market	US
Manufacturing	149	1.1	-0.47%	-0.01%	-0.62%	0.23%	-0.35%	0.00%
Trade, Transportation, and Utilities	256	0.8	0.11%	-0.06%	-0.15%	0.54%	-0.08%	0.02%
Retail Trade	145	0.9	0.74%	0.19%	-0.52%	-0.22%	-0.10%	0.01%
Financial Activities	104	1.1	-1.01%	-0.86%	-1.39%	0.91%	-0.12%	0.07%
Government	148	0.6	-3.61%	-0.67%	-0.66%	0.47%	0.35%	0.17%
Natural Resources, Mining, and Construction	103	1.1	-0.43%	1.28%	0.57%	1.94%	0.29%	0.35%
Education and Health Services	298	1.0	2.68%	1.83%	3.71%	2.09%	0.75%	0.26%
Professional and Business Services	317	1.3	0.71%	0.51%	0.60%	1.06%	0.27%	0.27%
Information	22	0.7	-2.81%	-2.78%	-1.62%	-0.10%	-0.23%	0.00%
Leisure and Hospitality	244	1.3	2.69%	1.59%	1.33%	0.86%	0.98%	0.59%
Other Services	57	0.9	1.20%	0.58%	1.14%	0.57%	0.50%	0.12%
Total Employment	**1,697**	**1.0**	**0.53%**	**0.44%**	**0.66%**	**0.95%**	**0.34%**	**0.20%**

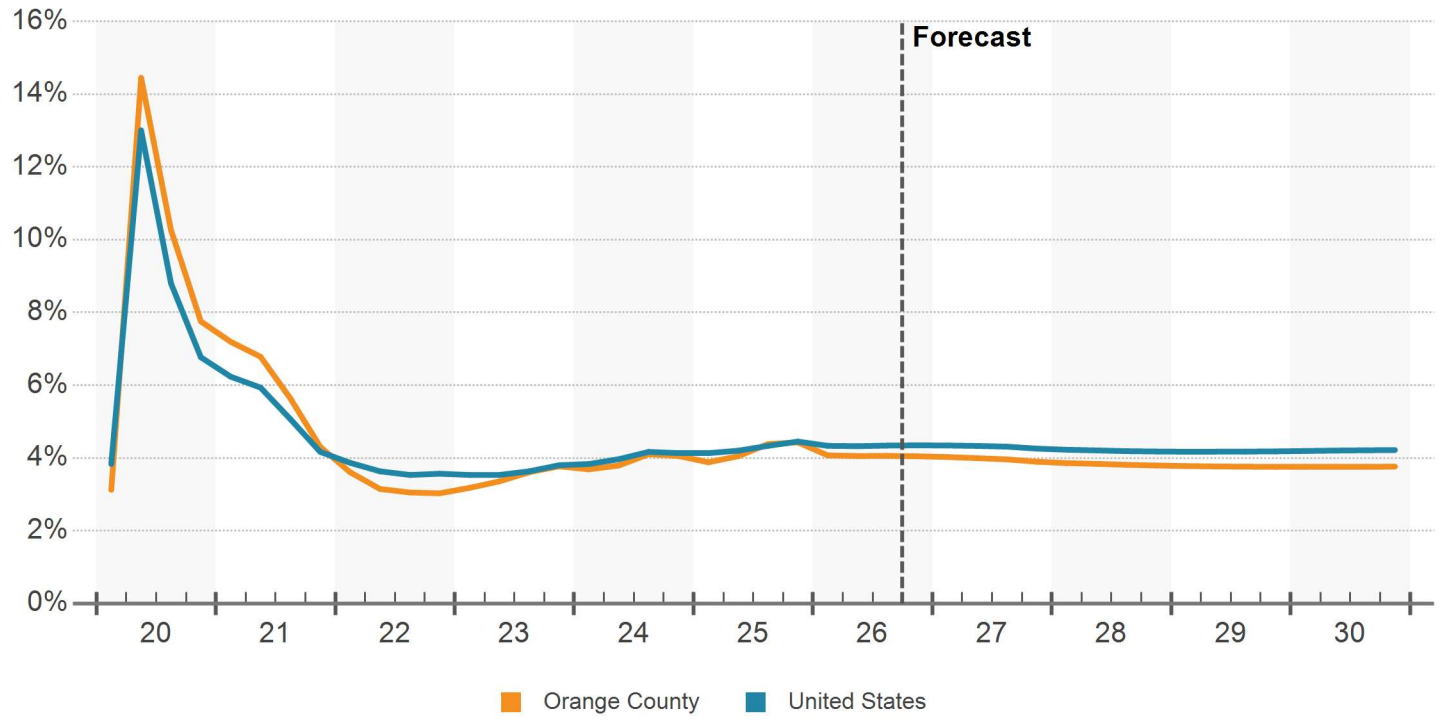
Source: Oxford Economics
LQ = Location Quotient

JOB GROWTH (YOY)

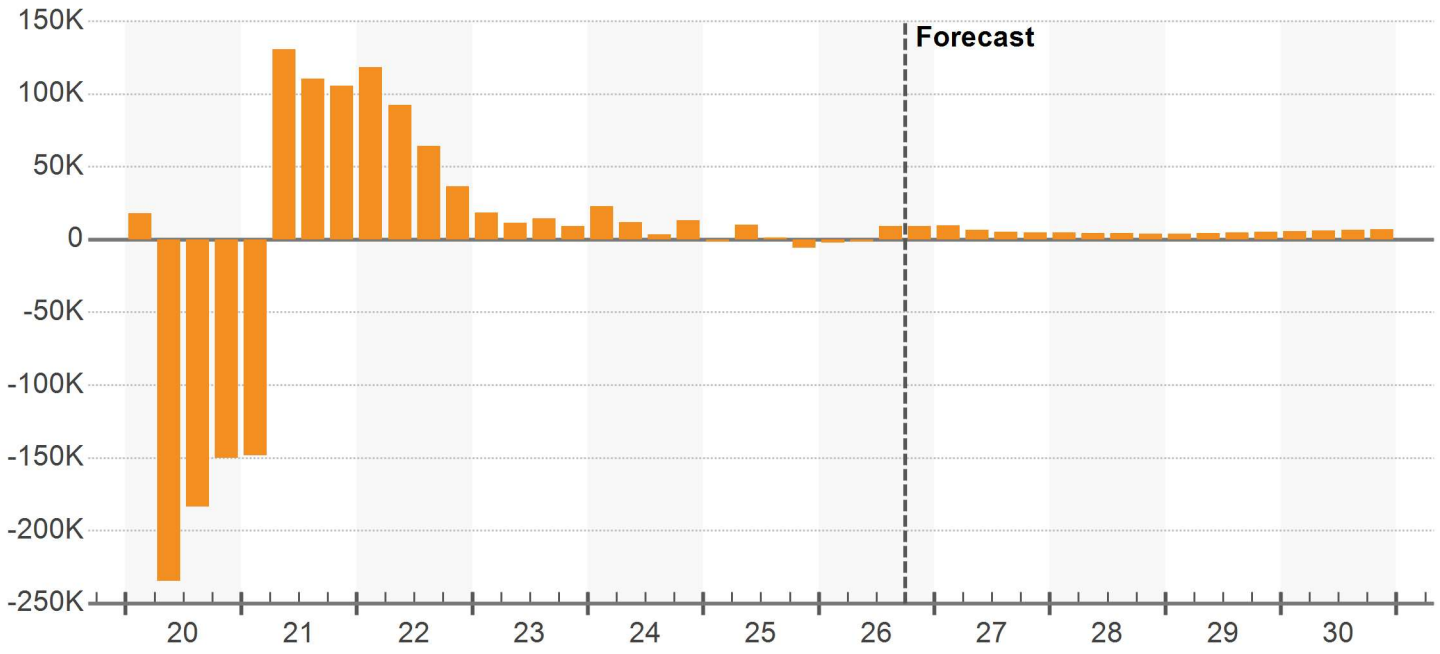


Source: Oxford Economics

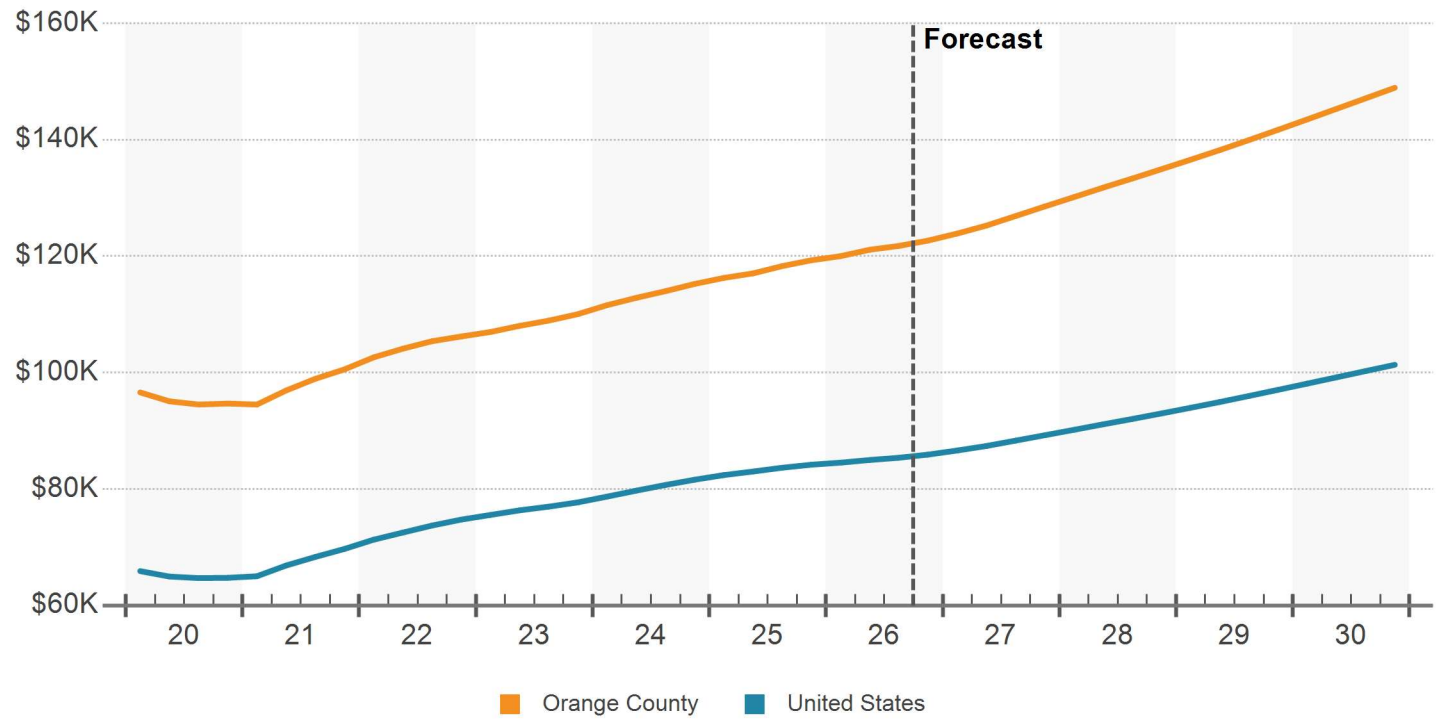
UNEMPLOYMENT RATE (%)



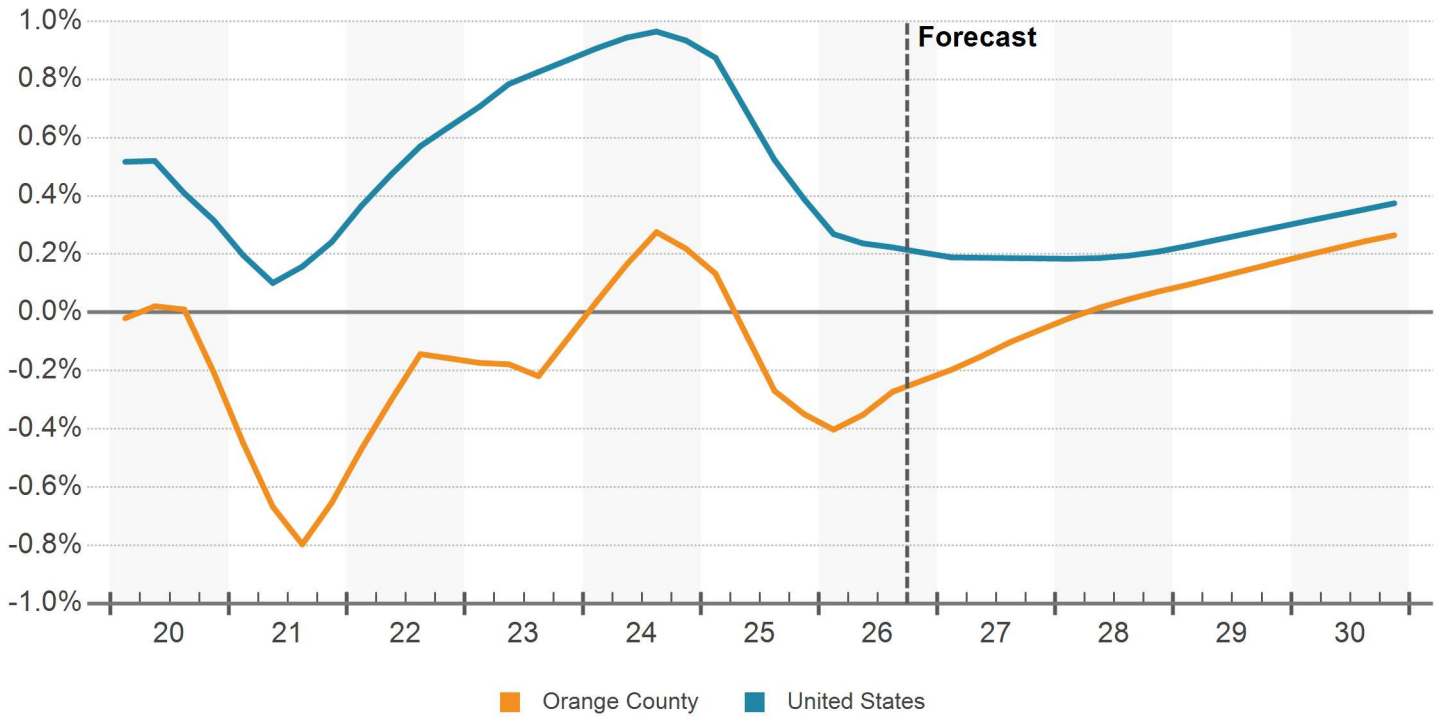
NET EMPLOYMENT CHANGE (YOY)



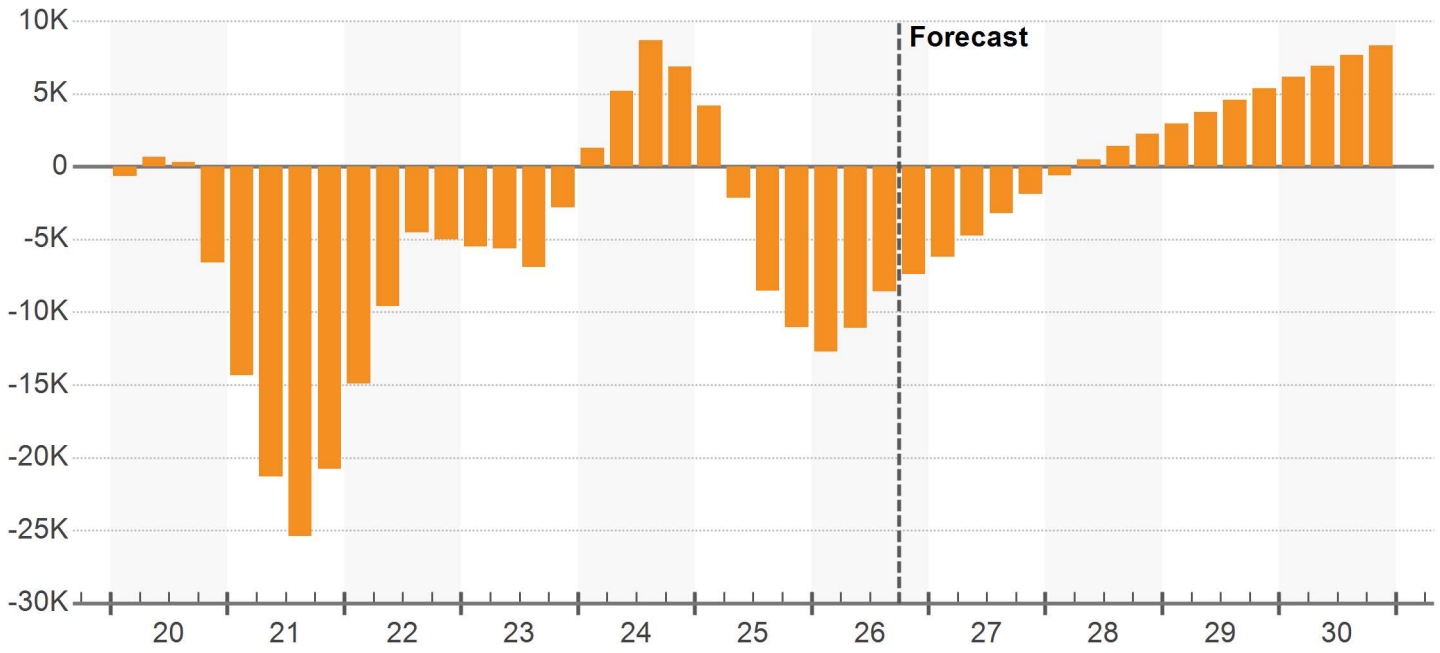
MEDIAN HOUSEHOLD INCOME



POPULATION GROWTH (YOY %)



NET POPULATION CHANGE (YOY)

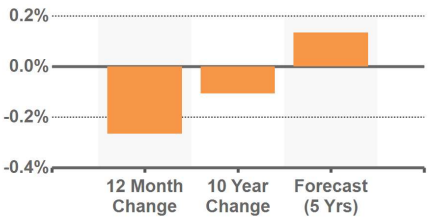


DEMOGRAPHIC TRENDS

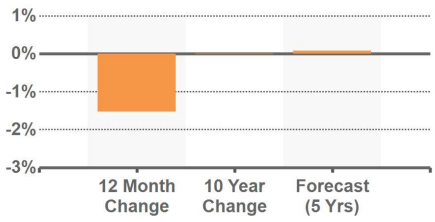
	Current Level		12 Month Change		10 Year Change		5 Year Forecast	
Demographic Category	**Metro**	**US**	**Metro**	**US**	**Metro**	**US**	**Metro**	**US**
Population	3,140,744	342,570,125	-0.3%	0.2%	-0.1%	0.5%	0.1%	0.3%
Households	1,095,610	134,645,750	0.2%	0.7%	0.4%	1.0%	0.4%	0.5%
Median Household Income	$121,883	$85,449	2.9%	2.0%	4.2%	4.1%	4.9%	4.2%
Labor Force	1,614,842	170,227,000	-1.5%	-0.4%	0%	0.7%	0.1%	0.1%
Unemployment	4.1%	4.3%	-0.3%	0%	0%	-0.1%	-0.1%	0%

Source: Oxford Economics

POPULATION GROWTH



LABOR FORCE GROWTH



INCOME GROWTH

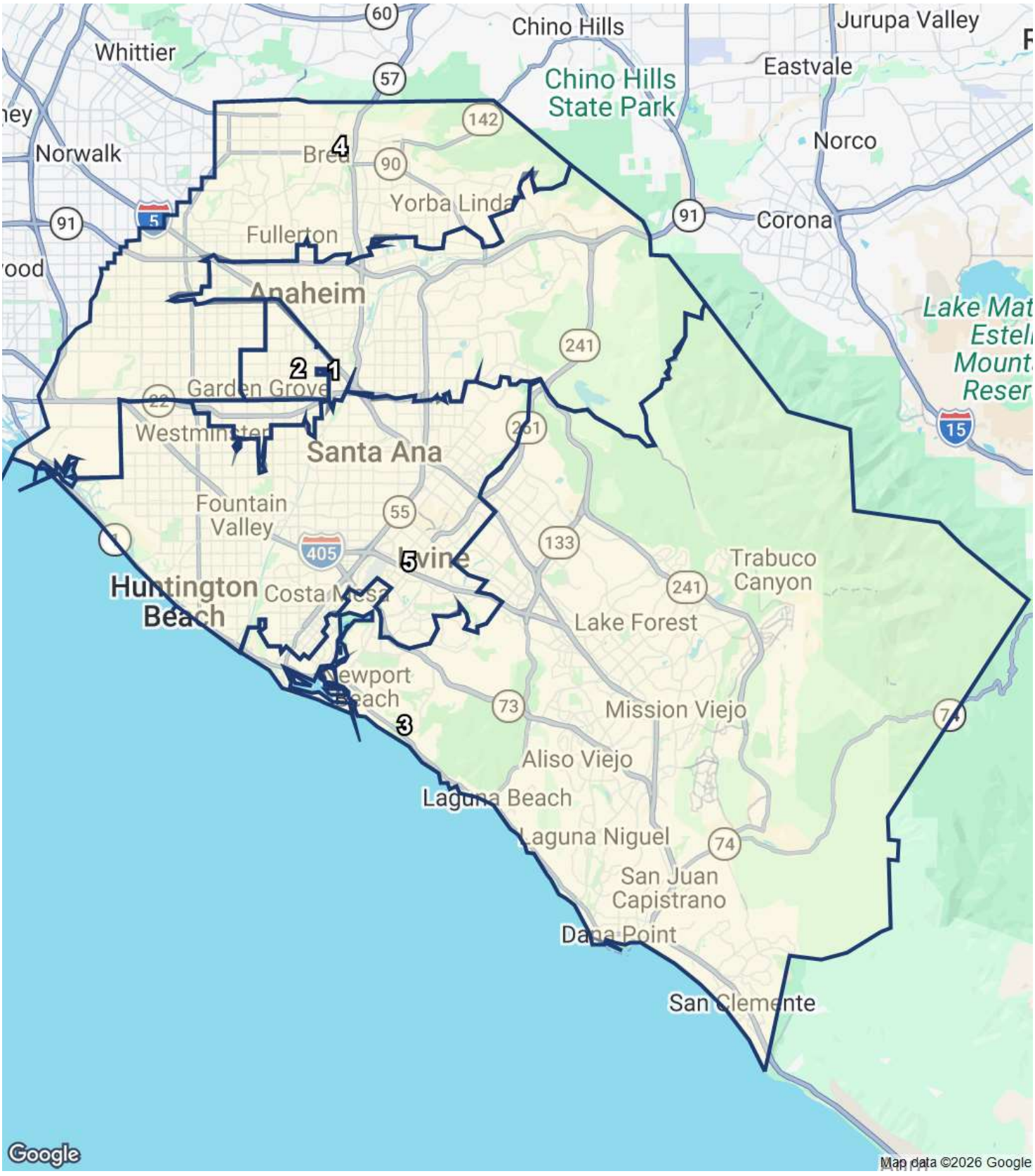


Source: Oxford Economics

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Submarkets

ORANGE COUNTY SUBMARKETS



Submarkets

SUBMARKET INVENTORY

		Inventory				12 Month Deliveries				Under Construction			
#	Submarket	Bldgs	Rooms	% Market	Rank	Bldgs	Rooms	%	Rank	Bldgs	Rooms	% Market	Rank
1	Anaheim	69	5,445	9.0%	5	0	0	-	-	0	0	0%	5
2	Disneyland	97	21,213	35.2%	1	0	0	-	-	2	496	2.3%	1
3	Newport Beach/Dana Point	114	11,719	19.5%	3	0	0	-	-	0	0	0%	3
4	Orange County Northwest/F···	88	7,637	12.7%	4	0	0	-	-	0	0	0%	4
5	Santa Ana/Costa Mesa	116	14,209	23.6%	2	0	0	-	-	1	172	1.2%	2

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Submarkets

SUBMARKET PERFORMANCE

		12 Mo Occupancy			12 Mo ADR			12 Mo RevPAR		
#	Submarket	Rank	%	Year Growth	Rank	Per Room	Year Growth	Rank	Per Room	Year Growth
1	Anaheim	3	71.6%	3.1%	5	$130.16	2.0%	4	$93.14	5.1%
2	Disneyland	1	78.4%	3.1%	2	$254.88	4.6%	2	$199.78	7.9%
3	Newport Beach/Dana Point	4	70.8%	1.2%	1	$299.69	5.9%	1	$212.21	7.1%
4	Orange County Northwest/F…	5	70.4%	-2.0%	4	$131.85	2.9%	5	$92.81	0.8%
5	Santa Ana/Costa Mesa	2	72.7%	2.6%	3	$173.44	2.9%	3	$126.13	5.6%

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Appendix

OVERALL SUPPLY & DEMAND

	Supply			Demand		
Year	Available Rooms	Change	% Change	Occupied Rooms	Change	% Change
2030	-	-	-			
2029	-	-	-			
2028	-	-	-			
2027	-	-	-			
2026	-	-	-			
YTD	14,633,217	(93,102)	-0.6%	11,000,191	298,029	2.8%
2025	22,099,528	10,263	0%	15,976,829	140,618	0.9%
2024	22,089,265	187,533	0.9%	15,836,211	150,313	1.0%
2023	21,901,732	2,931	0%	15,685,898	308,796	2.0%
2022	21,898,801	1,115,689	5.4%	15,377,102	3,512,995	29.6%
2021	20,783,112	2,236,316	12.1%	11,864,107	3,706,405	45.4%
2020	18,546,796	(2,854,202)	-13.3%	8,157,702	(8,411,393)	-50.8%
2019	21,400,998	(1,339)	0%	16,569,095	129,790	0.8%
2018	21,402,337	264,780	1.3%	16,439,305	169,309	1.0%
2017	21,137,557	244,554	1.2%	16,269,996	136,921	0.8%
2016	20,893,003	515,469	2.5%	16,133,075	338,496	2.1%

LUXURY & UPPER UPSCALE SUPPLY & DEMAND

	Supply			Demand		
Year	Available Rooms	Change	% Change	Occupied Rooms	Change	% Change
2030	-	-	-			
2029	-	-	-			
2028	-	-	-			
2027	-	-	-			
2026	-	-	-			
YTD	5,497,550	18,544	0.3%	4,180,622	214,476	5.4%
2025	8,242,079	66,727	0.8%	5,961,194	53,856	0.9%
2024	8,175,352	193,918	2.4%	5,907,338	14,682	0.2%
2023	7,981,434	61,579	0.8%	5,892,656	260,667	4.6%
2022	7,919,855	795,852	11.2%	5,631,989	1,939,526	52.5%
2021	7,124,003	1,493,210	26.5%	3,692,463	1,539,793	71.5%
2020	5,630,793	(2,071,118)	-26.9%	2,152,670	(3,972,979)	-64.9%
2019	7,701,911	22,203	0.3%	6,125,649	100,183	1.7%
2018	7,679,708	186,617	2.5%	6,025,466	146,955	2.5%
2017	7,493,091	107,520	1.5%	5,878,511	119,201	2.1%
2016	7,385,571	297,062	4.2%	5,759,310	155,658	2.8%

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UPSCALE & UPPER MIDSCALE SUPPLY & DEMAND

	Supply			Demand		
Year	Available Rooms	Change	% Change	Occupied Rooms	Change	% Change
2030	-	-	-			
2029	-	-	-			
2028	-	-	-			
2027	-	-	-			
2026	-	-	-			
YTD	5,777,933	3,853	0.1%	4,431,764	104,568	2.4%
2025	8,674,630	44,580	0.5%	6,446,408	87,936	1.4%
2024	8,630,050	55,257	0.6%	6,358,472	44,040	0.7%
2023	8,574,793	40,862	0.5%	6,314,432	113,177	1.8%
2022	8,533,931	365,375	4.5%	6,201,255	1,417,780	29.6%
2021	8,168,556	783,696	10.6%	4,783,475	1,841,646	62.6%
2020	7,384,860	(573,845)	-7.2%	2,941,829	(3,327,138)	-53.1%
2019	7,958,705	87,599	1.1%	6,268,967	32,865	0.5%
2018	7,871,106	173,750	2.3%	6,236,102	131,336	2.2%
2017	7,697,356	318,313	4.3%	6,104,766	256,767	4.4%
2016	7,379,043	311,055	4.4%	5,847,999	256,199	4.6%

MIDSCALE & ECONOMY SUPPLY & DEMAND

	Supply			Demand		
Year	Available Rooms	Change	% Change	Occupied Rooms	Change	% Change
2030	-	-	-			
2029	-	-	-			
2028	-	-	-			
2027	-	-	-			
2026	-	-	-			
YTD	3,357,734	(115,499)	-3.3%	2,387,805	(21,015)	-0.9%
2025	5,182,819	(101,044)	-1.9%	3,569,227	(1,174)	0%
2024	5,283,863	(61,642)	-1.2%	3,570,401	91,591	2.6%
2023	5,345,505	(99,510)	-1.8%	3,478,810	(65,048)	-1.8%
2022	5,445,015	(45,538)	-0.8%	3,543,858	155,689	4.6%
2021	5,490,553	(40,590)	-0.7%	3,388,169	324,967	10.6%
2020	5,531,143	(209,239)	-3.6%	3,063,202	(1,111,277)	-26.6%
2019	5,740,382	(111,141)	-1.9%	4,174,479	(3,258)	-0.1%
2018	5,851,523	(95,587)	-1.6%	4,177,737	(108,982)	-2.5%
2017	5,947,110	(181,279)	-3.0%	4,286,719	(239,048)	-5.3%
2016	6,128,389	(92,648)	-1.5%	4,525,767	(73,360)	-1.6%

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Appendix

OVERALL PERFORMANCE

	Occupancy		ADR		RevPAR	
Year	Percent	% Change	Per Room	% Change	Per Room	% Change
2030						
2029						
2028						
2027						
2026						
YTD	75.2%	3.4%	$221.67	6.2%	$166.64	9.9%
2025	72.3%	0.8%	$209.68	0.9%	$151.59	1.8%
2024	71.7%	0.1%	$207.75	-1.6%	$148.94	-1.5%
2023	71.6%	2.0%	$211.11	4.3%	$151.20	6.4%
2022	70.2%	23.0%	$202.31	19.3%	$142.06	46.7%
2021	57.1%	29.8%	$169.58	24.9%	$96.81	62.1%
2020	44.0%	-43.2%	$135.76	-17.9%	$59.71	-53.4%
2019	77.4%	0.8%	$165.36	2.3%	$128.02	3.1%
2018	76.8%	-0.2%	$161.68	3.4%	$124.19	3.1%
2017	77.0%	-0.3%	$156.42	3.8%	$120.40	3.5%
2016	77.2%	-0.4%	$150.65	4.5%	$116.33	4.1%

LUXURY & UPPER UPSCALE PERFORMANCE

	Occupancy		ADR		RevPAR	
Year	Percent	% Change	Per Room	% Change	Per Room	% Change
2030						
2029						
2028						
2027						
2026						
YTD	76.0%	5.1%	$328.47	6.6%	$249.79	11.9%
2025	72.3%	0.1%	$309.81	1.7%	$224.07	1.8%
2024	72.3%	-2.1%	$304.71	-0.7%	$220.18	-2.8%
2023	73.8%	3.8%	$306.94	3.5%	$226.61	7.4%
2022	71.1%	37.2%	$296.62	4.8%	$210.93	43.7%
2021	51.8%	35.6%	$283.17	17.7%	$146.77	59.5%
2020	38.2%	-51.9%	$240.64	1.9%	$92	-51.0%
2019	79.5%	1.4%	$236.10	2.3%	$187.78	3.7%
2018	78.5%	0%	$230.71	3.9%	$181.01	3.9%
2017	78.5%	0.6%	$222.10	2.2%	$174.24	2.9%
2016	78.0%	-1.4%	$217.22	2.8%	$169.39	1.4%

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UPSCALE & UPPER MIDSCALE PERFORMANCE

	Occupancy		ADR		RevPAR	
Year	Percent	% Change	Per Room	% Change	Per Room	% Change
2030						
2029						
2028						
2027						
2026						
YTD	76.7%	2.3%	$183.59	4.0%	$140.82	6.4%
2025	74.3%	0.9%	$176.81	0.8%	$131.39	1.7%
2024	73.7%	0.1%	$175.43	-1.1%	$129.25	-1.1%
2023	73.6%	1.3%	$177.43	3.8%	$130.66	5.2%
2022	72.7%	24.1%	$170.91	23.2%	$124.19	52.8%
2021	58.6%	47.0%	$138.75	13.9%	$81.25	67.5%
2020	39.8%	-49.4%	$121.78	-17.7%	$48.51	-58.4%
2019	78.8%	-0.6%	$147.89	2.1%	$116.49	1.5%
2018	79.2%	-0.1%	$144.88	1.4%	$114.79	1.3%
2017	79.3%	0.1%	$142.86	4.3%	$113.30	4.3%
2016	79.3%	0.2%	$137.03	4.7%	$108.60	4.9%

MIDSCALE & ECONOMY PERFORMANCE

	Occupancy		ADR		RevPAR	
Year	Percent	% Change	Per Room	% Change	Per Room	% Change
2030						
2029						
2028						
2027						
2026						
YTD	71.1%	2.5%	$105.34	2.7%	$74.91	5.3%
2025	68.9%	1.9%	$101.83	-2.9%	$70.13	-1.1%
2024	67.6%	3.8%	$104.90	-4.6%	$70.88	-0.9%
2023	65.1%	0%	$109.92	2.4%	$71.54	2.4%
2022	65.1%	5.5%	$107.37	20.2%	$69.88	26.8%
2021	61.7%	11.4%	$89.33	18.3%	$55.12	31.9%
2020	55.4%	-23.8%	$75.48	-14.0%	$41.80	-34.5%
2019	72.7%	1.9%	$87.77	0.6%	$63.83	2.5%
2018	71.4%	-1.0%	$87.21	1.8%	$62.26	0.8%
2017	72.1%	-2.4%	$85.68	2.6%	$61.76	0.1%
2016	73.8%	-0.1%	$83.53	6.4%	$61.69	6.3%

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OVERALL SALES

	Completed Transactions (1)						Market Pricing Trends (2)		
Year	Deals	Volume	Turnover	Avg Price	Avg Price/Room	Avg Cap Rate	Price/Room	Price Index	Cap Rate
2030	-	-	-	-	-	-	$417,009	340	7.3%
2029	-	-	-	-	-	-	$411,106	335	7.3%
2028	-	-	-	-	-	-	$405,220	330	7.3%
2027	-	-	-	-	-	-	$394,436	321	7.3%
2026	-	-	-	-	-	-	$385,357	314	7.3%
YTD	8	$163.5M	1.2%	$20,431,250	$221,177	5.0%	$385,794	314	7.3%
2025	14	$123.4M	1.9%	$9,492,385	$104,577	-	$373,108	304	7.4%
2024	14	$571.9M	2.6%	$43,995,643	$354,804	3.0%	$359,442	293	7.4%
2023	15	$242.2M	2.0%	$17,300,214	$201,333	7.3%	$312,095	254	7.3%
2022	37	$1.4B	6.7%	$42,610,828	$345,545	4.4%	$272,354	222	7.1%
2021	47	$598.7M	6.1%	$17,105,668	$158,722	5.8%	$243,084	198	7.1%
2020	17	$429.6M	4.0%	$25,273,265	$176,446	7.3%	$245,247	200	7.6%
2019	21	$914.9M	4.2%	$57,180,156	$369,649	7.0%	$264,404	215	7.6%
2018	12	$247M	2.1%	$20,581,250	$200,142	8.9%	$270,970	221	7.5%
2017	31	$556M	4.4%	$26,475,534	$217,437	6.2%	$257,344	210	7.5%
2016	21	$777.2M	3.2%	$43,179,917	$413,885	7.1%	$238,920	195	7.6%

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LUXURY & UPPER UPSCALE SALES

	Completed Transactions (1)						Market Pricing Trends (2)		
Year	Deals	Volume	Turnover	Avg Price	Avg Price/Room	Avg Cap Rate	Price/Room	Price Index	Cap Rate
2030	-	-	-	-	-	-	$699,159	355	6.7%
2029	-	-	-	-	-	-	$689,262	350	6.6%
2028	-	-	-	-	-	-	$679,394	345	6.6%
2027	-	-	-	-	-	-	$661,313	336	6.6%
2026	-	-	-	-	-	-	$646,091	328	6.7%
YTD	1	$11.4M	0.1%	$11,400,000	$518,182	-	$645,078	328	6.7%
2025	1	$0	0%	-	-	-	$621,163	316	6.8%
2024	4	$136.7M	1.9%	$45,578,167	$315,056	3.0%	$600,994	305	6.8%
2023	1	$0	0%	-	-	-	$525,927	267	6.7%
2022	6	$965.6M	5.1%	$160,926,135	$843,730	-	$453,740	231	6.6%
2021	7	$129.6M	2.7%	$18,516,786	$216,390	-	$395,019	201	6.6%
2020	3	$274.4M	4.8%	$91,466,667	$263,593	-	$388,200	197	7.1%
2019	5	$760.8M	6.7%	$190,200,625	$542,268	8.8%	$415,368	211	7.2%
2018	3	$123.8M	2.3%	$41,266,667	$259,539	9.5%	$431,953	219	7.0%
2017	4	$245.4M	3.9%	$61,356,250	$304,876	5.7%	$410,512	209	7.1%
2016	5	$606.3M	4.8%	$151,575,000	$623,765	8.4%	$383,691	195	7.1%

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UPSCALE & UPPER MIDSCALE SALES

	Completed Transactions (1)						Market Pricing Trends (2)		
Year	Deals	Volume	Turnover	Avg Price	Avg Price/Room	Avg Cap Rate	Price/Room	Price Index	Cap Rate
2030	-	-	-	-	-	-	$282,220	323	7.5%
2029	-	-	-	-	-	-	$278,225	318	7.5%
2028	-	-	-	-	-	-	$274,242	314	7.4%
2027	-	-	-	-	-	-	$266,943	305	7.5%
2026	-	-	-	-	-	-	$260,798	298	7.5%
YTD	3	$128M	2.4%	$42,650,000	$223,298	5.0%	$260,632	298	7.5%
2025	4	$55.3M	1.9%	$13,812,500	$119,589	-	$252,556	289	7.6%
2024	7	$400.5M	4.0%	$57,220,000	$415,498	-	$241,179	276	7.6%
2023	5	$159.6M	2.8%	$31,912,000	$241,758	6.7%	$205,732	235	7.5%
2022	16	$275M	6.6%	$22,916,708	$177,420	-	$183,775	210	7.3%
2021	12	$327.2M	7.8%	$32,715,519	$177,898	5.8%	$170,122	195	7.3%
2020	7	$91.8M	3.8%	$13,111,071	$104,293	7.3%	$179,630	205	7.7%
2019	4	$78.3M	1.5%	$26,093,333	$233,672	7.5%	$195,695	224	7.7%
2018	3	$56.4M	1.1%	$18,808,333	$226,606	-	$196,783	225	7.5%
2017	14	$223.7M	4.6%	$31,956,184	$225,725	5.6%	$186,794	214	7.6%
2016	5	$119.1M	2.7%	$23,810,000	$209,595	-	$172,161	197	7.7%

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MIDSCALE & ECONOMY SALES

	Completed Transactions (1)						Market Pricing Trends (2)		
Year	Deals	Volume	Turnover	Avg Price	Avg Price/Room	Avg Cap Rate	Price/Room	Price Index	Cap Rate
2030	-	-	-	-	-	-	$182,650	305	8.1%
2029	-	-	-	-	-	-	$180,065	301	8.1%
2028	-	-	-	-	-	-	$177,487	297	8.0%
2027	-	-	-	-	-	-	$172,763	289	8.1%
2026	-	-	-	-	-	-	$168,787	282	8.1%
YTD	4	$24.1M	1.0%	$6,025,000	$167,361	-	$169,031	282	8.1%
2025	9	$68.2M	5.1%	$7,572,333	$94,918	-	$167,175	279	8.2%
2024	3	$34.7M	1.5%	$11,556,284	$162,004	-	$160,455	268	8.2%
2023	9	$82.6M	3.7%	$9,182,556	$152,197	7.6%	$138,914	232	8.0%
2022	15	$165.6M	9.3%	$11,040,000	$120,436	4.4%	$122,526	205	7.8%
2021	28	$141.9M	8.8%	$7,884,761	$106,391	-	$115,391	193	7.7%
2020	7	$63.5M	3.3%	$9,066,857	$123,479	-	$119,715	200	8.1%
2019	12	$75.8M	4.7%	$8,422,222	$102,849	6.2%	$130,798	219	8.2%
2018	6	$66.8M	3.2%	$11,125,000	$131,398	7.8%	$130,127	217	8.1%
2017	13	$86.9M	4.7%	$8,686,792	$114,150	6.9%	$123,275	206	8.1%
2016	11	$51.9M	2.0%	$5,765,389	$153,558	5.9%	$112,340	188	8.3%

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DELIVERIES & UNDER CONSTRUCTION

	Inventory			Deliveries		Net Deliveries		Under Construction	
Year	Bldgs	Rooms	% Change	Bldgs	Rooms	Bldgs	Rooms	Bldgs	Rooms
YTD	484	60,223	-	0	0	(3)	(127)	3	668
2025	488	60,550	-0.6%	1	91	(2)	(204)	2	543
2024	493	60,932	0.4%	2	299	0	234	2	462
2023	492	60,689	-0.3%	2	474	(2)	276	3	390
2022	494	60,858	-0.8%	2	262	(3)	(208)	4	744
2021	497	61,354	1.3%	6	725	(3)	(159)	4	736
2020	494	60,580	2.4%	8	2,023	7	1,999	8	973
2019	487	59,172	0.9%	4	606	1	509	15	2,378
2018	487	58,634	0%	2	299	(1)	10	10	1,658
2017	488	58,610	1.4%	8	1,141	6	963	5	1,041
2016	481	57,795	2.2%	8	1,829	4	1,362	9	1,363

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